Chapter 31

The Right to Manage

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I. INTRODUCTION

§ 31:1 The right to manage

Chapter 1 of Pt 2 of the Commonhold and Leasehold Reform Act 2002 confers on a company know as an RTM company a collection of rights, referred to as the right to manage, in relation to the management of premises to which the Chapter applies.[1] In contrast to the right to apply for the appointment of a manager under Pt 2 of the Landlord and Tenant Act 1987,[2] the acquisition of the right to manage

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[Section 31:1]

[1]Section 71 of the 2002 Act.

[2]See § 28:50 and following. The two statutory rights were compared and contrasted in *Benthan v Lindsay Court (St Annes) RTM Co Ltd* [2021] UKUT 4 (LC).

does not require that there be demonstrated some prior fault or inadequacy on the part of the landlord or other manager in discharging management functions in relation to the premises concerned. Nor is the acquisition of the right to manage dependent on a judicial decision, but rather it is conferred by the statute on completion of the qualifying steps laid down in the 2002 Act.[3] The right to manage is a fault-free entitlement on the part of tenant-controlled RTM companies to assume management responsibility for premises to which Ch.1 of Pt 2 of the 2002 Act applies. It may be protected by the entry of a notice against the landlord's title to relevant leases of the premises.[4]

§ 31:2 No contracting out

It is not possible to contract out of the right to manage. An agreement relating to a lease (whether contained in the instrument creating the lease or not and whether made before the creation of the lease or not) is void in so far as it purports to exclude or modify the right of any person to be, or do anything as, a member of an RTM company.[1] Such an agreement is also void to the extent that it provides for the termination or surrender of the lease or the imposition of any penalty if the tenant becomes, or does anything as, a member of an RTM company or if an RTM company does anything.[2]

II. RTM COMPANIES, MEMBERSHIP AND GOVERNANCE

§ 31:3 RTM Companies

The right to manage is exercisable in relation to premises only by a company which is an RTM company in relation to those premises. A company is an RTM company in relation to premises if it is a private company limited by guarantee whose articles of association state that its object, or one of its objects, is the acquisition and exercise of the right to manage the premises.[1]

A company cannot be an RTM company in relation to premises if another company is already an RTM company in relation to the same premises or to any premises containing or contained in those premises.[2] This rule prevents competition between companies for the right to manage the same premises. It also prohibits the acquisition of the right to manage a whole building where an RTM company already exists in relation to part of it, or a self-contained part of a build-

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[3]*FirstPort Property Services Ltd v Settlers Court RTM Company Ltd* [2022] UKSC 1, at [17]; *Alleyn Court RTM Co Ltd v Abou-Hamdan* [2012] UKUT 74 (LC). Whether the relevant conditions have been satisfied or not is often the subject of dispute, but the function of the tribunals which determine such disputes is to confirm whether the conditions have been satisfied and the right acquired, rather than to confer the right.

[4]See Land Registry Practice Guide 27.

[Section 31:2]

[1]Section 106 of the 2002 Act. An agreement will "purport to" exclude or modify rights if that would be its effect: *Joseph v Joseph* [1967] Ch 78.

[2]Section 106 of the 2002 Act.

[Section 31:3]

[1]Section 73(2) of the 2002 Act.

[2]Section 73(4) of the 2002 Act.

ing if an RTM company already exists in relation to the whole.[3] Nor can a company be an RTM company if it is a commonhold association within the meaning of Pt 1 of the 2002 Act.[4] If an RTM company acquires the freehold of any premises in relation to which it is an RTM company, it ceases to be an RTM company.[5]

A company may not be an RTM company in relation to more than one self-contained building.[6] This rule does not prevent an RTM company from acquiring the right to manage a building, or a self-contained part of a building, which could be further divided into self-contained parts.[7]

§ 31:4 Membership

The 2002 Act makes provision for the contents of the articles of association of RTM companies, and in relation to membership, directors and voting. Before the right to manage has been acquired, membership of an RTM company is open only to qualifying tenants of flats in the premises,[1] all of whom are entitled to seek membership of the company, so that the opportunity to participate in the management of the premises is available to the qualifying tenant of each flat. Once the right to manage has been acquired landlords under leases of the whole or part of the premises are also entitled to become members.[2]

It has been suggested by the Upper Tribunal that an irregularity in a company's membership (as where an original subscriber who is not a qualifying tenant remains on the register of members) will not prevent a company from being an RTM company if it would otherwise have that status.[3] The 2002 Act also contemplates that an RTM company may have members who are not qualifying tenants of a flat in the premises, and provides that their participation in giving a claim notice does not invalidate the notice so long as a sufficient number of qualifying tenants were members when the notice was given.[4]

A person is not a member of a company unless they have agreed to become a member and their name has been entered in the register of members.[5] There is no requirement that the membership of an RTM company must comprise a certain proportion of qualifying tenants, but the company will be unable to give a claim

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[3] *Fencott Ltd v Lyttleton Court RTM Co Ltd* [2014] UKUT 27 (LC). The effect of s.73(4) is reinforced by the further restriction in Sch.6 para.5(1)(a) that Ch.2 of the 2002 Act does not apply to premises at any time if, at that time, the right to manage is already exercisable in relation to those premises.

[4] Section 73(3) of the 2002 Act. For commonhold associations see § 30:36 and following.

[5] Section 73(5) of the 2002 Act.

[6] *Triplerose Ltd v Ninety Broomfield Road RTM Co Ltd* [2015] EWCA Civ 282. Before this issue was resolved by the Court of Appeal, numerous companies sought the right to manage more than one self-contained building, and many obtained it without dispute or had it confirmed by tribunal decision; as a company whose object is to acquire the right to manage more than one building is not an RTM company, the status and rights of such companies may be in doubt.

[7] *Assethold Ltd v Eveline Road RTM Co Ltd* [2024] EWCA Civ 187.

[Section 31:4]

[1] Section 74(1)(a) of the 2002 Act.

[2] Section 74(1)(b) of the 2002 Act.

[3] *Triplerose Ltd v Mill House RTM Company Ltd* [2016] UKUT 80 (LC).

[4] Section 81(2) of the 2002 Act.

[5] *Southall Court Residents Ltd v Buy Your Freehold Ltd* LRX/124/2007 (Lands Tribunal); where no register of members had been compiled the only members of the company were the original subscribers, and a claim notice was not valid.

notice seeking to exercise the right until at least half of the qualifying tenants of flats in the premises are members.[6] Nor is there a requirement that the directors of an RTM company must be either qualifying tenants or members of the company.

Where trustees are the qualifying tenant of a flat contained in any premises their powers include the power to be a member of an RTM company, unless the instrument regulating the trust contained an explicit direction to the contrary.[7]

§ 31:5 Articles of association

The form and content of the articles of association of an RTM company are prescribed by regulation.[1] One of the objects of the company must be the acquisition and exercise of the right to manage the premises in relation to which the company is an RTM company.[2]

The prescribed articles of association have effect for an RTM company whether or not they are adopted by the company.[3] In the event of any inconsistency between articles of association adopted by an RTM company and the prescribed articles of association, the adopted articles have no effect.[4] The prescribed articles of association require that the name of the company be in the common form, identifying the company as an RTM company and referring to the name of the premises. It is therefore not possible for an RTM company to adopt a name inconsistent with the required form, as the inconsistent name will have no effect and the company will still be an RTM company.[5]

A company may not be an RTM company in the abstract, but only in relation to specific premises to which Part I of the 2002 Act applies. The articles of association specify the premises in respect of which the company intends to acquire and exercise the right to manage. If the premises specified in the articles are not premises to which Part I of the 2002 Act applies, for example because they are not a self-contained building, the company will not be an RTM company.[6]

The quorum in a general meeting of an RTM company is 20 per cent, or two members, whichever is the greater.[7] Joint tenants may all be members of the company, but only one vote may be cast per flat.[8] Day to day decisions are taken

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[6]Section 79(5) of the 2002 Act. Where there are only two qualifying tenants of flats contained in the premises, both must be members of the company before a claim notice may be served: s.79(4) of the 2002 Act.

[7]Section 109 of the 2002 Act.

[Section 31:5]

[1]The RTM Companies (Model Articles) (England) Regulations 2009 (as amended by the RTM Companies (Model Articles) (England) (Amendment) Regulations 2025/130) and the RTM Companies (Model Articles) (Wales) Regulations 2011, each made under powers conferred by s.74(2) of the 2002 Act. The model articles which apply in default by reason of s.20 of the Companies Act 2006, have no application to RTM companies: s.74(7) of the 2002 Act. By reg.2(1) the articles must "take the form, and include" the prescribed articles, so additions would appear to be permissible.

[2]Section 73(2) of the 2002 Act.

[3]Regulation 2(2) of the RTM Companies (Model Articles) (England) Regulations 2009.

[4]Section 73(5) of the 2002 Act.

[5]*Fairhold Mercury Ltd v HQ (Block 1) Action Management Co Ltd* [2013] UKUT 487 (LC).

[6]*Avon Ground Rents Ltd v 51 Earls Court Square RTM Company Ltd* [2016] UKUT 22 (LC).

[7]Article 29 of the RTM Companies (Model Articles) (England) Regulations 2009.

[8]Article 26 of the RTM Companies (Model Articles) (England) Regulations 2009. Reference should

by the directors, who may delegate management to an agent and whose powers may be restricted only by a special resolution of the company.[9]

III. PREMISES TO WHICH THE RIGHT TO MANAGE APPLIES

§ 31:6 Qualifying conditions

The right to manage applies only to premises which satisfy the following conditions:

(a) they consist of a self-contained building or part of a building, with or without appurtenant property;
(b) they contain two or more flats held by qualifying tenants; and
(c) the total number of flats held by such tenants is not less than two-thirds of the total number of flats contained in the premises.[1]

As Ch.1 of Pt 2 of the 2002 Act applies only to premises which satisfy these conditions, in principle it ought not to be possible for the right to manage to be acquired where the conditions are not met. In practice, however, if a notice claiming the right is not challenged by a valid counter-notice, the Act contains no mechanism for determining whether the qualifying conditions have been met and the right has been acquired. As the acquisition of the right has significant consequences for the rights of third parties, it seems doubtful that it can be acquired by consent, error or oversight where the qualifying conditions are not met, even if an effective counter-notice has not been given.[2] In such a case it may be necessary to seek a declaration to determine whether the right has been successfully acquired.

The right to manage is applicable to premises in which there is a Crown interest.[3]

§ 31:7 A self-contained building

The right to manage is exercisable in relation to a self-contained building or a self-contained part of a building, with or without appurtenant property.[1] The right may not be exercised by a single RTM company in respect of more than one self-contained building or part of a building.[2]

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be made to art.33 for the complex voting provisions which apply where an RTM company has landlord members.

[9]Articles 5, 8 and 9 of the RTM Companies (Model Articles) (England) Regulations 2009.

[Section 31:6]

[1]Section 72(1) of the 2002 Act.

[2]*St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC); *Alleyn Court RTM Co Ltd v Abou-Hamdan* [2012] UKUT 74 (LC). In a case where the qualifying conditions are not met, so that Ch.1 of Pt.2 of the 2002 Act does not apply to the premises, the appropriate tribunal would appear to lack jurisdiction to make a determination under s.84(3) that an RTM company was entitled to acquire the right. For an analogous situation under the Landlord and Tenant Act 1954, see *Nicholls v Kinsey* [1994] QB 600; [1994] 2 W.L.R. 622, CA.

[3]Section 108 of the 2002 Act: there is a Crown interest in premises if they are comprised in the Crown Estate, the Duchy of Lancaster, the Duchy of Cornwall or belong to, or are held on behalf of, a government department: s.108(2).

[Section 31:7]

[1]Section 72(1) of the 2002 Act; for the meaning of "appurtenant property" see § 31:9.

[2]*Triplerose Ltd v Ninety Broomfield Road RTM Co Ltd* [2015] EWCA Civ 282.

A building is a self-contained building if it is structurally detached.[3] This condition has been interpreted by the Upper Tribunal as requiring that there should be no structural attachment (as opposed to any non-structural attachment) between the building and some other structure. A building may therefore be structurally detached even though it touches or is attached to another building.[4]

In order to determine whether premises are a building which is structurally detached, it is first necessary to identify the premises to which the claim relates before considering whether those premises are self-contained in the sense that they are structurally detached. The identification of other property which is appurtenant to the self-contained building or part of a building is a separate exercise which will not arise if the principal subject matter of the claim is not self-contained.[5]

Whether premises satisfy the definition of "self-contained building or part of a building" is a purely physical test.[6] Whether it is satisfied depends on the nature and degree of the connection between the premises and any other structure. In one case a building was held to be structurally detached and therefore self-contained when it was connected to neighbouring premises only by weathering features introduced to cover gaps between the two buildings which would otherwise have permitted water ingress; there was no attachment of a structural nature between the two buildings.[7] The question is not limited to consideration of the built structure above ground level.[8] In another, a complex modern building which shared an underground carpark and a concrete foundation raft with an adjoining building was held not to be self-contained.[9] In a third case the fact that the floor slab of the building was shared with an adjoining building, and that the wall between them was a party wall, was sufficient to support the conclusion that the building was not structurally detached.[10]

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[3]Section 72(2); neither "building" nor "structurally detached" is defined, and it has therefore been said that each should be given its ordinary meaning: *Albion Residential Ltd v Albion Riverside Residents RTM Company Ltd* [2014] UKUT 6 (LC). In the context of s.2 of the Leasehold Reform Act 1967 the expression "structurally detached" was said by Lord Wilberforce to mean "detached from any structure": *Parsons v Gage (Trustees of Henry Smith's Charity)* [1974] 1 W.L.R. 435. In *No.1 Deansgate (Residential) Ltd v No.1 Deansgate RTM Ltd* [2013] UKUT 580 (LC) the Upper Tribunal declined to apply this approach literally.

[4]*No.1 Deansgate (Residential) Ltd v No.1 Deansgate RTM Ltd* [2013] UKUT 580 (LC); *CQN RTM Co Ltd v Broad Quay North Block Freehold Ltd* [2018] UKUT 183 (LC) in which the principles to be derived from decisions of the Upper Tribunal are summarised.

[5]*Albion Residential Ltd v Albion Riverside Residents RTM Company Ltd* [2014] UKUT 6 (LC); *GUV Harborough & Saltley House RTM Co Ltd v Adriatic Land 3 Ltd* [2024] UKUT 109 (LC).

[6]*Assethold Ltd v Eveline Road RTM Co Ltd* [2024] EWCA Civ 187. Third party rights to use facilities situated within a building, such as rights to park and use leisure facilities, did not prevent the building from qualifying as a self-contained building: *Adriatic Land 3 Ltd v Skyline Central One RTM Co Ltd* [2026] UKUT 210 (LC).

[7]*No.1 Deansgate (Residential) Ltd v No.1 Deansgate RTM Ltd* [2013] UKUT 580 (LC).

[8]*Consensus Business Group (Ground Rents) Ltd v Palgrave Gardens Freehold Co Ltd* [2020] EWHC 920 (Ch), following *LM Homes Ltd v Queen Court Freehold Co Ltd* [2020] EWCA Civ 371, both decisions under the Leasehold Reform, Housing and Urban Development Act 1993. Five residential blocks connected at basement level by a continuous concrete slab were found (despite the presence of movement joints in the slab) to be a self-contained building for the purpose of the 1993 Act.

[9]*Albion Residential Ltd v Albion Riverside Residents RTM Company Ltd* [2014] UKUT 6 (LC).

[10]*CQN RTM Co Ltd v Broad Quay North Block Freehold Ltd* [2018] UKUT 183 (LC).

§ 31:8 A self-contained part of a building

The right to manage is available in respect of a self-contained part of a building. A part of a building is self-contained if three conditions are satisfied:[1]

(a) it constitutes a vertical division of the building;

(b) the structure of the building is such that it could be redeveloped independently of the rest of the building; and

(c) the services provided by means of pipes, cables or other fixed installations[2] for occupiers of the part of the building in question are provided independently of the same services provided for occupiers of the rest of the building, or could be so provided without involving the carrying out of works likely to result in a significant interruption in the provision of any relevant services for occupiers of the rest of the building.

In considering whether part of a building constitutes a vertical division of the building a strict approach is adopted, and only de minimis deviations from the vertical plane are capable of being ignored.[3] The ~~Upper Tribunal has stated that the~~ required vertical division must be physical rather than notional. The question is not whether the building could be divided vertically by drawing notional lines on a plan, but whether it is in fact so divided. Thus, where an underground car park lay beneath several blocks, it was held that a notional division of the open plan space was not permissible; in the absence of a physical division of the space the parts of the building sitting above the car park were not self-contained.[4]

The requirement that the part of the building for which RTM is claimed must be capable of redevelopment independently of the remainder is concerned only with the structure of the building and it is immaterial that such a redevelopment could not take place without the cooperation or permission of the owner of the remainder.[5]

Whether relevant services are provided independently of the services provided to the remainder of the building is a question of fact. In considering whether services not so provided could be provided independently the Upper Tribunal has endorsed a five-step approach:

1. First, identify the services provided to occupiers of the part of the building

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[Section 31:8]

[1]Section 72(3)–(4) 2002 Act. These are the same conditions as must be satisfied for the collective enfranchisement of part of a building under Pt 1 of Ch.1 of the Leasehold Reform, Housing and Urban Development Act 1993. Decisions under the 1993 Act may provide useful guidance on the interpretation of the 2002 Act: *Assethold Ltd v Eveline Road RTM Co Ltd* [2024] EWCA Civ 187.

[2]Such services are referred to in s.72(4)–(5) as "relevant services".

[3]*Holding and Management (Solitaire) Ltd v 1-16 Finland St RTM Co Ltd* [2008] 1 E.G.L.R. 107 (LC): a deviation from the vertical plane created by two parking spaces in a basement which lay beneath the remainder of the building and comprised 2% of the area of the RTM premises meant that the premises were not a self-contained part of the building. Guidance from authorities on the vertical division of a house under s.2 of the Leasehold Reform Act 1967 is inapplicable.

[4]The *Courtyard RTM Co Ltd v Rockwell Ltd* [2026] EWCA Civ 712 ~~[2025] UKUT 39 (LC); an appeal is pending before the Court of Appeal~~.

[5]*Assethold Ltd v Eveline Road RTM Co Ltd* [2024] EWCA Civ 187; *Oakwood Court (Holland Park) Ltd v Daejan Properties Ltd* [2007] 1 E.G.L.R. 121, CC (Central London) (a 1993 Act case); *St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC). The notional redevelopment need not involve the complete demolition of the building:~~In the~~ *Courtyard RTM Co Ltd v Rockwell Ltd* [2026] EWCA Civ 712~~2025] UKUT 39 (LC) the Upper Tribunal said that the same focus on what is physically achievable, whether or not it is legally or contractually permissible, should be~~

~~applied gener-ally to each limb of the test of self-containment~~.

of which the right to manage is claimed ("the RTM part") which are in issue because they are not provided independently.

2. Consider whether those services can be provided independently to the RTM part independently of their provision to the remainder of the building.
3. Ascertain the works required to separate the respective parts of the services supplying the RTM part and the remainder of the building, so that such services would thereafter be supplied to each part independently of the other.
4. Assess the interruption to the services provided to the remainder of the building which would be caused by carrying out the works.
5. Decide whether that interruption would be "significant".[6]

If these conditions are satisfied in relation to part of a building, it is immaterial that that part could itself be further sub-divided into smaller self-contained parts some or all of which would also satisfy the same conditions.[7] The question is whether relevant services are provided independently to one part of the building, or could be so provided without significant interruption to the supply to the remainder of the building. It is therefore irrelevant that the RTM company proposes to continue with the current arrangements and to cooperate with the owners or managers of the remainder of the building in providing services on a common basis, rather than independently.[8] It has also been said to be appropriate to consider issues relating to the separation of services on a purely practical basis, focusing on the construction and configuration of the premises, rather than on the rights of their occupiers.[9]

The principle that the right to manage may be acquired in respect of a building capable of being sub-divided into self-contained parts applies only where the freehold of the self-contained parts is owned by the same person; where different persons own the freehold of different parts of premises, any of which are self-contained, the premises as a whole are not premises to which Chapter 2 applies, and the right to manage may only be acquired in respect of the separately owned parts.[10]

§ 31:9 With or without appurtenant property

The premises in respect of which the right to manage may be acquired may

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[6] *St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC). These steps were adapted from *Oakwood Court (Holland Park) Ltd v Daejan Properties Ltd* [2007] 1 E.G.L.R. 121 (CC) which concerned the very similar provisions for collective enfranchisement claims under s.3(2) of the Leasehold Reform, Housing and Urban Development Act 1993. What amounts to a "significant interruption" is a question of judgment for the tribunal: Brickfield Properties Ltd v Oakwood Court Blocks 9 and 10 RTM Company Ltd [2026] UKUT 133 (LC).

[7] *Assethold Ltd v Eveline Road RTM Co Ltd* [2024] EWCA Civ 187, adopting the same approach as in *41-60 Albert Palace Mansions (Freehold) Ltd v Craftrule Ltd* [2011] 1 W.L.R. 2425 (CA), a collective enfranchisement decision under the 1993 Act.

[8] *St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC).

[9] *St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC). In the context of enfranchisement it has been held that whether the relevant services provided for the occupiers of part of a building are capable of being provided independently should be determined by considering whether, with minimal work, the existing service installations could be reconfigured to provide services independently for each part, and that the condition will not be satisfied if new service installations would be required: *Oakwood Court (Holland Park) Ltd v Daejan Properties Ltd* [2007] 1 E.G.L.R. 121 CC (Central London). In *St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC) the extent of permissible adaptation was treated by the Upper Tribunal as a question of degree.

[10]Sch.6 para.2, 2002 Act.

include "appurtenant property".[1] In relation to a building or part of a building (or a flat), "appurtenant property" means any garage, outhouse, garden, yard or appurtenances belonging to, or usually enjoyed with, the building or part of a building (or flat).[2] Only such property as appertains exclusively to the premises over which the right to manage is claimed will be appurtenant property for this purpose. Shared estate facilities the use of which is enjoyed in common with the occupiers of other premises are not within the scope of the right to manage, which is concerned only with the management of the relevant premises together with nearby physical property over which the occupants of the relevant building (or part) have exclusive rights.[3] In that way difficulties over shared management responsibility for such areas are avoided.

The identification of property which is appurtenant to premises over which the right is claimed is a separate exercise from consideration of the prior question of whether those premises are themselves a self-contained building or part of a building.[4]

§ 31:10 Containing two or more flats

The right to manage may only be exercised in relation to premises which contain two or more flats held by qualifying tenants.[1] The term "flat" is defined[2] to mean a separate set of premises, whether or not on the same floor, which satisfies three conditions:

(a) it must form part of a building;
(b) it must be constructed or adapted for use for the purpose of a dwelling;[3] and
(c) either the whole or a material part of the separate set of premises must lie above or below some other part of the building.

Because a flat need not be entirely on one floor, maisonettes comprising a single separate set of premises will qualify. A storeroom on a different floor from a flat, but used in conjunction with it, has been held not to be part of the flat, but rather to be an appurtenance.[4] The definition is concerned with the physical configuration of the premises and the purpose for which it was constructed or adapted,

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[Section 31:9]

[1]Section 72(1)(a) of the 2002 Act.

[2]s.112(1) of the 2002 Act. In *Firstport Property Services Ltd v Settlers Court RTM Co Ltd* [2022] UKSC 1, at [43] it was pointed out that the list of "appurtenant property" in s.112(1) is a list of physical, corporeal objects, and there was said to be force in construing the word "appurtenances" in the list eiusdem generis so as not to include incorporeal rights such as easements.

[3]*Firstport Property Services Ltd v Settlers Court RTM Co Ltd* [2022] UKSC 1, overruling Gala Unity Ltd v Ariadne Road RTM Co Ltd [2012] EWCA Civ 1372.

[4]*Albion Residential Ltd v Albion Riverside Residents RTM Company Ltd* [2014] UKUT 6 (LC).

[Section 31:10]

[1]Section 72(1)(b) of the 2002 Act.

[2]Section 112(1) of the 2002 Act.

[3]A "dwelling" means a building or part of a building occupied or intended to be occupied as a separate dwelling, s.112(1) of the 2002 Act.

[4]*Cadogan v McGirk* [1996] 4 All E.R. 643; (1996) 73 P. & C.R. 483, a decision under the 1993 Act.

which will be judged as at the date on which a claim is made to acquire the right to manage.[5]

§ 31:11 Held by qualifying tenants

At least two flats in the premises must be held by qualifying tenants, and the total number of flats held by such tenants must not be less than two-thirds of the total number of flats contained in the premises.[1]

To be a qualifying tenant a person must be a tenant of the flat under a long lease, and must not be amongst the exceptions identified in § 31:23.[2] Where a flat is let to joint tenants under a long lease, the joint tenants are regarded as jointly being the qualifying tenant of the flat.[3] Where the long lease of a flat is held by trustees they will be the qualifying tenant.[4] The lessee under a newly granted long lease, not yet registered at HM Land Registry and therefore effective in equity but not at law, is a qualifying tenant because by s.112(2) of the 2002 Act a "lease" includes an agreement for a lease.[5]

There is no occupancy condition, nor any minimum period a lease must have been held before the status of qualifying tenant is acquired, nor any restriction on the number of flats which may be held by the same qualifying tenant. A tenant under a long lease is not prevented from being a qualifying tenant by the fact that it is also a landlord, having underlet the flat on a tenancy which is not a long lease.[6]

§ 31:12 Long lease

The most common form of long lease[1] is a lease granted for a term of years certain exceeding 21 years (whether or not it is terminable before the expiry of the term by notice given by the tenant, by re-entry or forfeiture or otherwise.)[2]

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[5]*Q Studios (Stoke) RTM Co Ltd v Premier Ground Rents No. 6 Ltd* [2020] UKUT 197 (LC) referring to *Aldford House Freehold Ltd v Grosvenor (Mayfair) Estate* [2019] EWCA Civ 1848. The question is not whether the unit is the occupier's home, nor is it concerned with the terms on which the unit is let; the availability of other facilities, such as a communal lounge, gym and laundry, will not prevent a student "studystudio" which contained all the essential requirements for living, eating and sleeping, from being a flat: *Q Studios (Stoke) RTM Co Ltd v Premier Ground Rents No. 6 Ltd* [2020] UKUT 197 (LC). *Jones v Wrotham Park Estates* [1980] A.C. 74, CA.

[Section 31:11]

[1]Section 72(1) of the 2002 Act.

[2]Section 75(2) of the 2002 Act.

[3]Section 75(7) of the 2002 Act.

[4]Section 109(1) of the 2002 Act. Where the qualifying tenant dies and the lease passes to their personal representatives, they are the qualifying tenants: *Assethold Ltd v 7 Sunny Gardens Road RTM Co Ltd* [2013] UKUT 509 (LC).

[5]*Avon Freeholds Ltd v Cresta Court E RTM Co Ltd* [2025] EWCA Civ 1016. Where there are both legal and equitable leases in existence at the same time, such as where a property is sold in the "registration gap" between completion of a purchase and its registration at HM Land Registry, primacy will be given to the legal lessee: *159-167 Prince of Wales Road RTM Co Ltd v Assethold Ltd* [2024] EWCA Civ 1544; *Avon Freeholds Ltd v Cresta Court E RTM Co Ltd* [2025] EWCA Civ 1016.

[6]*Avon Ground Rents Ltd v Canary Gateway (Block A) RTM Company Ltd* [2020] UKUT 358 (LC).

[Section 31:12]

[1]The expressions "lease" and "tenancy" have the same meaning and both expressions include (where the context permits) a sub-lease or sub-tenancy, and an agreement for a lease or tenancy (or for

The following less commonly encountered leases are also long leases for the purposes of the right to manage.[3]

(a) A lease for a term fixed by law under a grant with a covenant or obligation for perpetual renewal (provided it is not a lease by sub-demise from one which is not a long lease).

(b) A lease taking effect under s.149(6) Law of Property Act 1925 i.e. a lease terminable after a death, marriage or civil partnership.

(c) A lease granted in pursuance of the right to buy, or the right to acquire on rent to mortgage terms, conferred on tenants of local authorities by Pt V Housing Act 1985.

(d) A shared ownership lease,[4] where the tenant's total share (meaning the initial share plus any share subsequently acquired)[5] is 100%.[6]

(e) A lease granted in pursuance of Pt V, Housing Act 1985 which has effect by virtue of s.17 of the Housing Act 1996 (the right to acquire).

§ 31:13 Flat held under separate leases

Where the same flat is held under two or more separate leases having the same landlord and the same tenant, and the property comprised in one of the leases is the whole or part of the flat (with or without appurtenant property) while the property comprised in the other lease or leases is either a part of the flat (with or without appurtenant property) or appurtenant property only, there is taken to be

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a sub-lease or sub-tenancy), but do not include a tenancy at will or at sufferance. The expressions "landlord" and "tenant", and references to letting, to the grant of a lease or to covenants or the terms of a lease, are construed accordingly: s.112(2)–(3) of the 2002 Act. The premises demised by the lease may consist of or include a single flat or more than one flat: s.112(4). A housing association which held multiple flats on a single long headlease and which underlet them on shorter tenancies was therefore a qualifying tenant: *Avon Ground Rents Ltd v Canary Gateway (Block A) RTM Company Ltd* [2020] UKUT 358 (LC).

[2]Section 76(2)(a) of the 2002 Act.

[3]These categories are provided for by s.76(2)(b)–(f) of the 2002 Act. The premises demised by the lease may consist of or include a single flat or more than one flat: s.112(4). A housing association which held multiple flats on a single long headlease and which underlet them om on shorter tenancies was therefore a qualifying tenant: *Avon Ground Rents Ltd v Canary Gateway (Block A) RTM Company Ltd* [2020] UKUT 358 (LC).

[4]A shared ownership lease is defined in s.76(3) of the 2002 Act, and means a lease granted on payment of a premium calculated by reference to a percentage of the value of the demised premises or the cost of providing them, or under which the tenant or his personal representative will or may be entitled to a sum calculated by reference to the value of the premises. Such leases are most commonly granted under Pt V of the Housing Act 1985 but any lease satisfying the description will qualify as a long lease. (see *Joseph Rowntree Memorial Trust Housing Association Ltd v Attorney-General* [1983] 1 All E.R. 288 for an example of a shared ownership lease granted by a charitable trust)

[5]Section 76(4) of the 2002 Act.

[6]By virtue of s.76(2)(a) a shared ownership lease which is for a term exceeding 21 years (as is invariably the case with such leases granted under the Housing Acts 1980 and 1985) will be a long lease even where the tenant's share is less than 100% and s.76(2)(e) would therefore appear apply only to bespoke agreements for terms shorter than 21 years: *Avon Ground Rents Ltd v Canary Gateway (Block A) RTM Company Ltd* [2023] EWCA Civ 616, *Corscombe Close Block 8 RTM Co Ltd v Roseleb Ltd* [2013] UKUT 81 (LC) applying *Brick Farm Management Ltd v Richmond Housing Partnership Ltd* [2005] EWHC 1650; [2005] 1 W.L.R. 3934; [2006] 2 E.G.L.R. 46 (a case under the comparable provisions of s.7 of the Leasehold Reform, Housing and Urban Development Act 1993) and not following *Richardson v Midland Heart Ltd* [2008] L. & T.R. 31.

a single long lease of the property comprised in such of the leases as are long leases.[1]

§ 31:14 Tenancies treated as long leases

Provision is made for certain leases which would not otherwise be long lease to be treated as long leases.

§ 31:15 Tenancies treated as long leases—Renewal by grant or implication of law

If, on the coming to an end of a long lease, the tenant of the property becomes or has become the tenant of the property or part of it under a subsequent tenancy, that tenancy is treated as a long lease for the purpose of the right to manage irrespective of its terms.[1] The same is true whether the new tenancy is created by express grant or by implication of law.

§ 31:16 Tenancies treated as long leases—Renewal by covenant or obligation

Where a lease for a term of less than 21 years includes a covenant or obligation for its renewal without the payment of a premium, and it is renewed on one or more occasions so that the total term granted, including any interval between the end of one lease and the beginning of the renewal, exceeds 21 years, the lease is treated as if the term originally granted had exceeded 21 years.[1] Provided no other exclusion applies, such a lease is therefore a long lease for the purpose of the right to manage.

§ 31:17 Tenancies treated as long leases—Statutory continuation

If a long lease is or was continued after its expiry either by Pt 1 of the Landlord and Tenant Act 1954 or by Sch.10 to the Local Government and Housing Act 1989, or was continued for any period under the Leasehold Property (Temporary Provisions) Act 1951, it remains a long lease during that period.[1]

§ 31:18 Leases which are not long leases

Inalienable leases terminable on death or marriage are not long leases for the purpose of the right to manage, irrespective of their length. A lease terminable by notice after a death or marriage is not a long lease if:

[Section 31:13]

[1]Section 77(5) of the 2002 Act. The date of commencement of the single long lease is taken to be the date of commencement of the term of the lease with the earliest date of commencement: s.112(6) of the 2002 Act.

[Section 31:15]

[1]Section 77(2) of the 2002 Act.

[Section 31:16]

[1]s.77(3) of the 2002 Act; this does not apply where the right of renewal is one for perpetual renewal, since such a lease would already be a long lease by virtue of s.76(2)(a).

[Section 31:17]

[1]s.77(4) of the 2002 Act.

(a) the notice is capable of being given at any time after the death or marriage of the tenant;
(b) the length of the notice is not more than three months; and
(c) the terms of the lease preclude both its assignment otherwise than by virtue of s.92 of the Housing Act 1985 (assignments by way of exchange) and the sub-letting of the whole of the demised premises.[1]

§ 31:19 Tenants who are not qualifying tenants

Certain tenants of a flat held under a long lease are nonetheless not qualifying tenants for the purpose of Ch.1 of Pt.2 of the 2002 Act.

§ 31:20 Tenants who are not qualifying tenants—Business tenancies

A tenant under a long lease which is a tenancy to which Pt 2 of the Landlord and Tenant Act 1954 applies is not a qualifying tenant.[1]

§ 31:21 Tenants who are not qualifying tenants—Sub-demise in breach of covenant

Where a lease was granted by sub-demise out of a superior lease which was not itself a long lease,[1] and the grant was a breach of the terms of the superior lease which has not been waived by the superior landlord, the tenant under the lease will not be a qualifying tenant.[2] A grant by sub-demise out of a long lease is unaffected by this provision.

§ 31:22 Tenants who are not qualifying tenants—Concurrent long leases

No flat may have more than one qualifying tenant as any one time.[1] Where the same flat is let concurrently under two or more long leases, the tenant under the long lease furthest down the chain is the qualifying tenant of the flat, and the tenant under a superior lease is not a qualifying tenant.[2]

[Section 31:18]

[1]s.77(1) of the 2002 Act.

[Section 31:20]

[1]s.75(3) of the 2002 Act.

[Section 31:21]

[1]This exclusion is an oddity since, although technically possible in the case of a grant by a periodic tenant, the grant of a long lease out of a superior lease which is not itself a long lease is unlikely to occur in practice. It seems improbable that the exclusion was deliberately fashioned to exclude long leases granted by periodic tenants. The provision was imported from s.5(2)(c) of the 1993 Act as to which see § 16:162.

[2]s.75(4) of the 2002 Act.

[Section 31:22]

[1]s.75(5) of the 2002 Act.

[2]s.75(6) of the 2002 Act.

§ 31:23 Premises excluded from the right to manage

Certain premises which otherwise fulfil the qualifying conditions are nonetheless excluded from the right to manage.[1] These fall into five categories.

§ 31:24 Premises excluded from the right to manage—Buildings with substantial non-residential parts

Until 3 March 2025, the right to manage did not apply where the internal floor area of any non-residential part or parts of the building taken together exceeded 25 per cent of the net internal area of the building as a whole. From that date, the limit changed, and the non-residential parts may not now exceed 50 per cent of the net-internal area for the right to be applicable.[1] For the purpose of this assessment part of a building is regarded as a non-residential part if it is neither occupied, nor intended to be occupied, for residential purposes, nor comprised in any common parts of the premises.[2] An unlawful use should be ignored for the purpose of the assessment.[3]

The first relevant distinction is between occupation for residential as opposed to non-residential purposes, and it has been treated as immaterial that use for residential purposes is also in connection with a business; bed-sitting rooms in the basement of a building in mixed use and occupied by the staff of a restaurant on the ground floor of the building were therefore held to be occupied for residential purposes.[4] A garage, parking space, storage area or other parts of the premises which are used, or intended for use, in conjunction with a particular dwelling contained in the premises are taken to be occupied for residential purposes.[5]

[Section 31:23]

[1]s.72(6) and Sch.6 of the 2002 Act.

[Section 31:24]

[1]s.72(6) and Sch.6 para.1(1) of the 2002 Act, as amended by s.49, Leasehold and Freehold Reform Act 2024 with effect from 3 March 2025 (Leasehold and Freehold Reform Act 2024 (Commencement No.3) Regs 2025). Whether a particular area forms part of the building for this purpose is a question of fact and degree: *Indiana Investments Ltd v Taylor* [2004] 3 E.G.L.R. 63; *Connaught Court RTM Company Limited v Abouzaki Holdings Ltd* [2008] 3 E.G.L.R. 175. In *Interface Properties Ltd v 307 Barking Road RTM Company Ltd* [2024] UKUT 383 (LC) the area of an inaccessible roof void in which no floorboards had been laid on the rafters was held not to have a floor, or a floor area, and was ignored for the purpose of the calculation. In *Connaught Court RTM Company Limited v Abouzaki Holdings Ltd* [2008] 3 E.G.L.R. 175 it was held that under-pavement vaults which formed part of the demise under a headlease of the whole building, though not shown on the lease plan, formed part of the premises to be measured and counted as non-residential. In the context of claims for collective enfranchisement under the 1993 Act, s.4 of which adopts the same qualifying condition, it has been held in the County Court that the area of any common parts is to be disregarded on both sides of the calculation, and that inaccessible coal vaults which were no longer connected to the building should be disregarded: *Indiana Investments Ltd v Taylor* [2004] 3 E.G.L.R. 63.

[2]s.72(6) and Sch.6 para.1(3) of the 2002 Act.

[3]*Gaingold v WHRA RTM Co Ltd* [2006] 1 E.G.L.R. 81 (LT).

[4]*Gaingold v WHRA RTM Co Ltd* [2006] 1 E.G.L.R. 81 (LT); contrast *Smith v Jaffron (No.2)* [2013] 2 E.G.L.R. 104 (CC) in which it was held that use of premises as short stay accommodation for business travellers was not residential occupation in the context of the 1993 Act.

[5]Sch.6 para.1(3) of the 2002 Act.

In the context of collective enfranchisement under the 1993 Act, it has been held that areas of a building which are provided for shared use or common benefit are common parts.[6]

Conventional codes of measuring do not apply in determining the internal floor area of the building. Common parts of the building are disregarded, but otherwise the floors of the building are taken to extend without interruption throughout the whole of the interior of the building.[7]

§ 31:25 Premises excluded from the right to manage—Buildings with self-contained parts in different ownership

Where different persons own the freehold of different parts of premises which satisfy the three qualifying conditions referred to in § 31:6 above, the right to manage does not apply to the premises if any of those parts is itself a self-contained part of a building.[1] Thus in the case of a terrace comprising self-contained parts in different freehold ownerships, the right could not be exercised in relation to the terrace as a whole, although it could be available for each self-contained part.

§ 31:26 Premises excluded from the right to manage—Premises with resident landlord and no more than four units

The right to manage does not apply to premises which have a resident landlord and do not contain more than four units.[1] Premises cannot have a resident landlord if they are, or are part of, a purpose-built block of flats (i.e. a building which, as constructed, contained two or more flats).[2]

Premises which are not a purpose-built block of flats will have a resident landlord if the freeholder[3] of the whole or any part of the premises (or an adult member of their family)[4] occupies a qualifying flat[5] as their only or principal home

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[6] *Earl Cadogan v Panagopoulos* [2011] Ch 177 (CA). The Court of Appeal approved the treatment of a flat used to provide accommodation for a resident caretaker as "common parts" (where leases of flats in the building required that there be a resident caretaker).

[7] Schedule 6 para.1(4) of the 2002 Act. It has been held that the effect of this direction is that interruptions such as non-structural partitioning should be ignored, and that while an area which has temporarily had its floor removed should be measured, the calculation should not include areas which do not have a floor at all: *Interface Properties Ltd v 307 Barking Road RTM Company Ltd* [2024] UKUT 383 (LC).

[Section 31:25]

[1] Schedule 6 para.2 of the 2002 Act.

[Section 31:26]

[1] Schedule 6 para.3(1) of the 2002 Act. A "unit" may be a flat or any other separate set of premises constructed or adapted for use as a dwelling, or a separate set of premises let, or intended for letting, on a tenancy to which Pt 2 of the Landlord and Tenant Act 1954 applies: s.112(1) of the 2002 Act.

[2] Schedule 6 para.3(2)(a) of the 2002 Act.

[3] Where the freehold is held on trust, references to the freeholder are to a person having an interest under the trust (whether or not they are also a trustee): Schedule 6 para.3(7) of the 2002 Act.

[4] A person is an adult member of another's family if they are the other's spouse, a son, daughter, son-in-law or daughter-in-law of the other, or of the other's spouse, who has attained the age of 18, or the father or mother of the other or of the other's spouse; "son" and "daughter" include stepson and stepdaughter. Schedule 6 para.3(8) of the 2002 Act.

[5] A qualifying flat is a flat or other unit used as a dwelling which is contained in the premises and

and has done so throughout the last 12 months.[6] Where the freehold of premises with a resident landlord is acquired by a new landlord, the premises will still have a resident landlord if the new landlord or an adult member of their family occupied a qualifying flat in the building within 28 days of the date on which the new landlord acquired their interest, and has occupied it as their only or principal home ever since.[7]

§ 31:27 Premises excluded from the right to manage—Premises owned by a local housing authority

The right to manage does not apply to premises which otherwise satisfy the qualifying conditions if a local housing authority is the immediate landlord of any of the qualifying tenants of flats contained in the premises.[1]

§ 31:28 Premises excluded from the right to manage—Premises in relation to which the right to manage has previously been exercised

The right to manage does not apply to premises which otherwise satisfy the qualifying conditions if the right is already exercisable in relation to those premises by an RTM company.[1] For this reason, among others, one RTM company may not seize the management of premises from another RTM company.[2]

Nor does the right to manage apply where the right has been exercisable within the previous four years but has ceased to be so.[3] This rule does not apply where the right to manage ceased to be exercisable because the RTM company acquired the freehold.[4]

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the freehold of the whole of which is owned by the relevant freeholder: Schedule 6 para.3(6) of the 2002 Act.

[6]Schedule 6 para.3(2)–(3) of the 2002 Act.

[7]Schedule 6 para.3(4)–(5) of the 2002 Act. This would appear to enable an incoming freeholder to preserve an existing exemption from the right to manage, achieved by reason of the residence of the landlord's predecessor, rather than to permit the aggregation of periods of occupation by different freeholders.

[Section 31:27]

[1]Schedule 6 para.4(1) of the 2002 Act. A local housing authority is a district council, a London borough council, the Common Council of the City of London, a Welsh county council or county borough council, or the Council of the Isles of Scilly: Sch 6 para.4(2) of the 2002 Act, incorporating the definition in s.1(1) of the Housing Act 1985.

[Section 31:28]

[1]Schedule 6 para.5(1)(a) of the 2002 Act.

[2]Section 73(4) of the 2002 Act is an apparently comprehensive prohibition on the existence of an RTM company in relation to premises if another RTM company is already an RTM company in relation to those premises. The exclusion in Sch 6 para.5(1)(a) would seem to be designed to achieve the same objective by a different route.

[3]Schedule 6 para.5(1)(b) of the 2002 Act. The circumstances in which the right to manage will cease to be exercisable are considered in § 31:59 below. The period of four years may be reduced by the appropriate tribunal (the First-tier Tribunal (Property Chamber) in England or the leasehold valuation tribunal in Wales) if it considers that it would be unreasonable for it to apply in the circumstances of a particular case: Sch 6 para.5(3) of the 2002 Act.

[4]Schedule 6 para.5(2) of the 2002 Act.

IV. CLAIMING THE RIGHT TO MANAGE

§ 31:29 The invitation to participate

All qualifying tenants of flats in the premises are entitled to participate in the acquisition of the right to manage through membership of the RTM company. The first step in the procedure for the acquisition of the right to manage is the giving by an RTM company of a notice referred to as a notice of invitation to participate (or simply a participation notice). The purpose of the participation notice is to inform all of those who are eligible to become members of the RTM company of the opportunity to do so, and thus to participate in the acquisition of the right.[1] Before a claim to acquire the right can be made an RTM company must give a participation notice to each person who is the qualifying tenant[2] of a flat contained in the premises who is neither already a member of the RTM company nor has already agreed to become a member.[3] The notice must be in writing and may be sent by post.[4] Unless the qualifying tenant of a flat has notified the RTM company of a different address in England and Wales at which they wish to receive any such notice the company may give the notice at the flat.[5]

The consequence of a failure to give a participation notice to each person required to be given such a notice is that no claim notice may be given.[6] Where a claim notice had been given, and the claim was supported by a tenant who had not been given a participation notice, the claim failed because the landlord was entitled to rely on the failure to give the participation notice; the claim notice was a nullity, and no valid claim could be based on it.[7]

The identification of errors or inadequacies in the form and service of participa-

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[Section 31:29]

[1]*Baron Estate Management Ltd v Wick Hall (Hove) RTM Co Ltd* [2023] UKUT 62 (LC).

[2]Where two or more persons are the qualifying tenant, the notice must be given to each of them: s.112(5) of the 2002 Act.

[3]Section 78(1) of the 2002 Act.

[4]Section 111(1) of the 2002 Act.

[5]Section 111(5) of the 2002 Act. The address of the flat may safely be used even in the knowledge that the qualifying tenant does not reside there unless a specific request has been made for the use of an alternative address for this purpose: *Avon Freeholds Ltd v Regent Court RTM Company Ltd* [2013] UKUT 213 (LC); *Avon Ground Rents Ltd v Canary Gateway (Block A) RTM Company Ltd* [2020] UKUT 358 (LC). If an alternative address for service is selected by the RTM company the risk of non-service is on the company.

[6]Section 79(2) of the 2002 Act. The strictness of this rule was affirmed by the Court of Appeal in *Avon Freeholds Ltd v Cresta Court E RTM Co Ltd* [2025] EWCA Civ 1016, rejecting the view of the Upper Tribunal that a claim notice was not wholly invalid but was voidable at the election of the qualifying tenant who had not been served with a participation notice. Section 79(2) contains a clear and unqualified prohibition on making a claim without first giving a participation notice to all qualifying tenants. Earlier decisions upholding claims will require reconsideration and are likely to be confined to their own facts: *Sinclair Investments (Kensington) Ltd v Oak Investments RTM Company Ltd* LRX/52/2004 participation notice given to only one of two joint tenants (the other already being a member of the RTM company); *Avon Freeholds Ltd v Regent Court RTM Company Ltd* [2013] UKUT 213 (LC) no evidence of effective service of participation notice. In *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* the Supreme Court did not overrule either of these latter two cases but it is likely that at least the second was wrongly decided.

[7]*Avon Freeholds Ltd v Cresta Court E RTM Co Ltd* [2025] EWCA Civ 1016; *Avon Ground Rents Ltd v Canary Gateway (Block A) RTM Company Ltd* [2020] UKUT 358 (LC). In *Cresta Court* the Court of Appeal reversed the Upper Tribunal, which had based its conclusion on what it took to be the reasoning of the Supreme Court in *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27 and treated the failure to give a participation notice as rendering the claim notice voidable,

tion notices is thought to be one of the few grounds of defence available to a landlord who wishes to resist the acquisition of the right to manage. A failure to give any participation notice to someone who is entitled to receive one is fatal and a claim notice given in those circumstances is a nullity, but a defect in the form of a participation notice has less extreme consequences. If a participation notice has been given, a defect will prevent the acquisition of the right to manage, but may render the acquisition voidable at the option of the person entitled to receive it, for whose benefit the procedure was enacted.[8] The identification of defects in procedure is now much less likely to be of assistance to a landlord.

§ 31:30 Form and content of the participation notice

A participation notice must satisfy a number of formal requirements identified in s.78 of the 2002 Act and in regulations. In particular it must:

(a) state that the RTM company intends to acquire the right to manage the premises;
(b) state the names of the members of the RTM company; and
(c) invite the recipients of the notice to become members of the company.[1]

The participation notice must also contain such other particulars (if any) and comply with such requirements regarding form (if any) as may be required or prescribed by regulations made by the appropriate national authority.[2] Regulations applicable to premises in England have been made by the Secretary of State and for premises in Wales by the Welsh Ministers.[3] In each case the regulations include a prescribed form of participation notice and additionally require that the notice contain certain particulars.[4] The particulars comprise specific information concerning the RTM company (its registered number, the address of its registered office and the names of its director and secretary (if it has one)), the names of each person who is the landlord under a lease of the whole or any part of the premises in respect of which the right is claimed, the name of any third party (neither landlord nor tenant) who is party to a lease of the whole or any part of the premises, and the name and address of any managing agent whom it is proposed to appoint and whether that person is the landlord's managing agent, or, if it is proposed not to appoint a managing agent, the qualifications or experience of the

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rather than void. The Supreme Court had avoided this difficult question in its own decision at paragraph [69], but the law has now been clarified.

[8] *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27.

[Section 31:30]

[1] Section 78(2) of the 2002 Act.

[2] Sections 78(2)(d) and 78(3) of the 2002 Act. The appropriate national authority for England is the Secretary of State, while the Welsh Ministers perform the same function for Wales: s.179(1) of the 2002 Act and para.30, Sch.11 of the Government of Wales Act 2006.

[3] The Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 (SI 2010/85) and the Right to Manage (Prescribed Particulars and Forms) (Wales) Regulations 2011 (SI 2011/2684) respectively. The requirements of the Welsh Regulations are somewhat less prescriptive than those of their English counterpart in that a form of notice of invitation to participate "to the like effect" to the prescribed form is specifically permitted: reg.8(1), Right to Manage (Prescribed Particulars and Forms) (Wales) Regulations 2011.

[4] Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 reg.3(1).

existing members of the company in relation to the management of residential property.[5]

The required particulars include a series of generic statements concerning the effect of the acquisition of the right to manage on the RTM company's entitlement to enforce tenant covenants, and on its acquisition of certain statutory functions in relation to the giving or refusal of consents and the management of the premises generally.[6] The particulars also contain a warning that where the RTM company gives a claim notice any person who is or has been a member of the company may be liable for costs incurred by the landlord and others in consequence of the notice.[7] For details of all of the prescribed particulars reference should be made to the form of participation notice.[8]

As the purpose of the participation notice is to invite the recipient to become a member of the RTM company, a copy[9] of the company's articles of association must accompany the notice or, if it does not, the notice must contain a statement regarding the inspection and copying of the articles.[10] That statement must specify a place (in England or Wales) at which the articles of association may be inspected. It must also specify at least two hours on each of at least three days (including a Saturday or Sunday or both[11]) within the seven days beginning with the day following that on which the notice is given as the times at which the articles may be inspected. Finally, it must specify a place (in England or Wales) at which, at any time within those seven days, a copy of the articles of association may be ordered and specify the fee for the provision of a copy which may not exceed the reasonable cost of providing it.[12]

Where the participation notice includes a statement of where and when the articles of association may be inspected or a copy obtained, rather than providing a copy with the notice, the notice will be treated as not having been given to any recipient who is not allowed to undertake an inspection, or is not provided with a copy, in accordance with the statement.[13]

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[5]Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 reg.3(2)(a)–(b) and (g).

[6]Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 reg.3(2)(c)–(f). Further generic information is provided in notes which are part of the prescribed form of notice, and which are themselves part of the particulars which are required to be provided: reg.3(2)(j).

[7]Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 reg.3(2)(h).

[8]See Appendix VIIB.

[9]A "copy" means anything onto which the information has been copied by whatever means and whether directly or indirectly, s.112(1) of the 2002 Act. This wide definition would appear to permit the provision of a copy by electronic means.

[10]Section 78(4) of the 2002 Act.

[11]A notice which specified only week days has nevertheless been held by the Court of Appeal not to be invalid: *Elim Court RTM Co Ltd v Avon Freeholds Ltd* [2017] EWCA Civ 89, reversing the decision of the Upper Tribunal, *Elim Court RTM Co Ltd v Avon Freeholds Ltd* [2014] UKUT 397 (LC), on this point.

[12]Section 78(5) of the 2002 Act.

[13]Section 78(6) of the 2002 Act. The consequence of a notice not being given to a qualifying tenant is that no claim to exercise the right to manage may be made: s.79(2) of the 2002 Act.

§ 31:31 Signature of participation notice

A participation notice must be signed. The prescribed form of notice[1] includes a statement that it is signed by authority of the RTM company, and anticipates that the signatory will be an authorised member or officer.[2] Where another company signs the notice (for example in its capacity as company secretary) its signature should comply with the requirements of s.44 of the Companies Act 2006 (formalities for the execution of formal documents).[3]

§ 31:32 Errors, omissions and inaccuracies in participation notices

The 2002 Act contains a specific saving provision that a participation notice is not invalidated by any inaccuracy in any of the particulars required to be provided.[1] Despite this latitude the sufficiency of participation notices is regularly the subject of dispute.[2]

Not all errors are treated as inaccuracies in the provision of particulars. It is not yet clear whether the statutory saving provision extends only to information specifically described as "particulars".[3] A distinction must be drawn between a failure to provide the required particulars, or to comply with requirements about the form of the notice, and an inaccuracy in the statement of the required particulars.[4] If the main substance of the information required to be provided has been given, any inaccuracy in that material will not render the notice invalid, but

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[Section 31:31]

[1]i.e. the form in Sch.2 of The Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 the use of which is required by reg.8(2).

[2]In the context of a claim notice, which is also required to be signed in the same way, it has been held to be sufficient that the signatory has the authority of the RTM company to sign the notice, although not a member or officer: *Assethold Ltd v 14 Stansfield Road RTM Company Ltd* [2014] UKUT 262 (LC).

[3]*Elim Court RTM Co Ltd v Avon Freeholds Ltd* [2014] UKUT 397 (LC) applying *Hilmi & Associates Ltd v 20 Penbridge Villas Freehold Ltd* [2010] 1 W.L.R. 2750 (CA), which concerned a notice given under s.13 of the Leasehold Reform, Housing and Urban Development Act 1993. A document is validly executed by a company if it is signed by two authorised signatories (directors or the company secretary) or by a director in the presence of a witness who attests the signature, s.44(2) of the Companies Act 2006.

[Section 31:32]

[1]Section 78(7) of the 2002 Act.

[2]The Supreme Court has now decided in *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27 that defects in procedure do not prevent the acquisition of the right to manage but render the process voidable at the election of the person for whose benefit the relevant requirement is imposed. It is now unlikely that a landlord will be able to take advantage of an error in a participation notice.

[3]It appears to be implicit in s.78(2)(d) that all of the statements required by s.78(2) to be included in a notice of invitation to participate are "particulars"; it is less clear whether the requirements of s.78(5) are "particulars". In *Viscount Chelsea v Morris* [1999] L. & T.R. 154; [1998] 11 WLUK 72 the Court of Appeal held that as a matter of ordinary construction a similar saving provision in para.9(1), Sch.12 of the Leasehold Reform, Housing and Urban Development Act 1993 applied only to inaccuracies in material specifically called "particulars". In *Assethold Ltd v 14 Stansfield Road RTM Company Ltd* [2012] UKUT 379 (LC) the Upper Tribunal did not follow *Viscount Chelsea v Morris* [1999] L. & T.R. 154; [1998] 11 WLUK 72 when considering the scope of the similar saving provision in s 81(1) of the 2002 Act, and regarded all of the information required by ss. 80(2)–(7) as particulars within the scope of s. 81(1). The same construction seems likely to apply to s.78(7) of the 2002 Act.

[4]*Assethold Ltd v 14 Stansfield Road RTM Company Ltd* [2012] UKUT 262 (LC); *Assethold Ltd v 13-24 Romside Place RTM Company Ltd* [2013] UKUT 603 (LC) (a notice of invitation which failed to

it is likely that if, reading the notice as a whole, there has been a total failure to provide a required piece of information that failure will not be an "inaccuracy" and will render the notice void.[5] Notices of invitation to participate which failed to provide the address of the RTM company's registered office,[6] or which failed to state the name of the landlord, but gave that of its predecessor, or which omitted entirely the notes which are included in the prescribed form,[7] have been held to contain errors which could not be cured and which invalidated the notices. A notice which was in a prescribed form which had been replaced by a new form was held to contain an inaccuracy which did not invalidate the notice.[8]

The requirement that a participation notice should identify periods of two hours on at least three days (including a Saturday or Sunday or both) within the seven days beginning with the day following that on which the notice is given as the times at which the RTM company's articles of association may be inspected has been held by the Court of Appeal to be of secondary importance. Notices which did not identify a Saturday or Sunday as days on which inspection would be available, and gave only weekdays as options, were nevertheless held to comply with the statutory requirements, so that a subsequent claim to acquire the right to manage was effective.[9]

§ 31:33 Consequences of failure to give a participation notice

The consequence of a failure to give a participation notice to each person required to be given such a notice is that no claim notice may be given.[1]

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state the name of the landlord but included that of its predecessor was invalid); *Triplerose Ltd v Mill House RTM Company Ltd* [2016] UKUT 80 (LC).

[5]*Cresswell v Duke of Westminster* [1985] 2 E.G.L.R. 151 (CA) and *Speedwell Estates v Dalziel* [2002] L. & T.R. 12 (CA) (both concerning inaccuracies in notices under s.8 of the Leasehold Reform Act 1967) and *Assethold Ltd v 15 Yonge Park RTM Co Ltd* [2012] UKUT 262 (LC) (concerning inaccuracy in the particulars required to be included in a claim notice under s.80 of the 2002 Act).

[6]*Assethold v 15 Yonge Park RTM Company Ltd* [2011] UKUT 379 (LC).

[7]*Triplerose Ltd v Mill House RTM Company Ltd* [2016] UKUT 80 (LC).

[8]*Assethold v 14 Stansfield Road RTM Company Ltd* [2012] UKUT 262 (LC), the inaccuracy was very limited and amounted to a reference to the 2003 Regulation, rather than the 2010 Regulations (which were in substantially the same form) and to the Companies Act 1985, rather than 2006.

[9]*Elim Court RTM Co Ltd v Avon Freeholds Ltd* [2017] EWCA Civ 89, reversing the decision of the Upper Tribunal, *Elim Court RTM Co Ltd v Avon Freeholds Ltd* [2014] UKUT 397 (LC), on this point.

[Section 31:33]

[1]Section 79(2) of the 2002 Act: *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27. But in *Avon Freeholds Ltd v Cresta Court E RTM Co Ltd* [2024] UKUT 335 (LC) the Upper Tribunal held that a claim notice was not wholly invalid but was voidable at the election of the qualifying tenant who had not been served with a notice of invitation to participate; as that qualifying tenant supported the claim, there was no reason to treat the claim as void. In *Sinclair Investments (Kensington) Ltd v Oak Investments RTM Company Ltd* LRX/52/2004 the Lands Tribunal had held that a failure to serve a notice of invitation to participate on one of two joint tenants (the other already being a member of the RTM company) did not prevent the service of a valid claim notice. In *Avon Freeholds Ltd v Regent Court RTM Company Ltd* [2013] UKUT 213 (LC) the Upper Tribunal had held that the right to manage had been acquired although the RTM company had served notice of invitation to participate at an address other than the address of the flat and there was no evidence that service had been effective. In *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2023] UKUT 27 (LC) the Supreme Court did not suggest that either of these latter two cases had been wrongly decided and in *Avon Freeholds Ltd v Cresta Court E RTM Co Ltd* [2024] UKUT 335 (LC) the Upper Tribunal suggested that the logic of the Supreme Court's decision was that they had been correct.

§ 31:34 The claim

A claim to acquire the right to manage is made by giving notice of the claim by service of a document referred to in the 2002 Act as a claim notice.[1] A claim notice may not be given until at least 14 days after each person required to be given a participation notice has been given one.[2]

The date on which the claim notice is given is referred to as the "relevant date".[3] On the relevant date one of two conditions must be met in relation to the membership of the RTM company. If on that date there are only two qualifying tenants of flats in the premises both must be members of the RTM company; in any other case the membership of the RTM company must include a number of qualifying tenants which is not less than half of the total number of flats in the premises.[4] For these conditions to be satisfied the RTM company must have a register of members and the names of those who have agreed to become members must have been entered in it by the relevant date.[5]

The claim notice must be given to each person who on the relevant day is landlord under a lease of the whole or any part of the premises, or party to such a lease otherwise as landlord or tenant, or a manager of the premises (or any premises containing or contained in the premises) appointed by a court or tribunal under Pt 2 of the Landlord and Tenant Act 1987.[6] If any such person cannot be found, or if their identity cannot be ascertained, it is not necessary that a claim form be served on them but if none of those on whom a claim form is required to be served can be identified or found an application is required to be made to the appropriate tribunal for an order that the RTM company is to acquire the right to manage.[7] Whether a person cannot be found is an objective one which does not depend on whether the RTM company actually knew of the existence, identity or whereabouts of a stakeholder *prima facie* entitled to be given a claim notice, but on whether they could or could not have been identified.[8]

The consequence of a failure by an RTM company to give a claim notice to a landlord or other person whose identity or whereabouts were not unknown, and

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[Section 31:34]

[1]Section 79(1) of the 2002 Act. Service of a valid claim notice is the operative step in the acquisition of the right to manage, with the purpose of any subsequent proceedings being to determine whether that step was effective. Provision is made for the giving of notices by s.111 of the 2002 Act, which is considered at § 31:44 below.

[2]Section 79(2) of the 2002 Act.

[3]Section 79(1) of the 2002 Act.

[4]Section 79(3)–(5) of the 2002 Act.

[5]*Southall Court Residents Ltd v Buy Your Freehold Ltd* LRX/124/2007 (Lands Tribunal) (unreported).

[6]Section 79(6) of the 2002 Act. The landlord for this purpose means the registered proprietor of the interest in reversion to the lease, and a purchaser of that interest who already owns the equitable interest in the reversion but whose title has not yet been registered is not the landlord who must be served: *159-167 Prince of Wales Road RTM Co Ltd v Assethold Ltd* [2024] EWCA Civ 1544. In *Lexham House RTM Co Ltd v European Investments & Development (Properties) Ltd* [2019] UKUT 390 (LC) a company which held only the reversion to easements granted to the lessees of flats in the building was found to be a landlord within the meaning of s.79(6), applying *Nevill Long & Co (Boards) Ltd v Firmenich & Co* [1983] 2 E.G.L.R. 76 (CA), a decision of the Court of Appeal under the Landlord and Tenant Act 1954.

[7]Section 79(7) of the 2002 Act, the necessary application in such a case is made under s.85.

[8]*A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27.

who was entitled to receive one, is that the failure renders the transfer of the right to manage voidable, at the instance of that person. That possibility remains unless, or until, the appropriate tribunal resolves the dispute over entitlement raised by a person who was given a claim notice and approves the transfer of the right to manage. The person entitled to seek avoidance can disclaim or abandon the right do so, but if they choose to insist on it the appropriate tribunal has no jurisdiction to resolve any resulting dispute. If the right to manage was purportedly acquired following service of a claim notice to which no counter-notice was given, it would be necessary for proceedings to be brought in the High Court for a declaration that the right to manage had not in fact been acquired. If a party to whom a claim notice was given gave a counter-notice but the right to manage was confirmed by the tribunal, its decision would be subject to judicial review on the application of a person who should have been given a claim notice but who was not.[9]

A copy of the claim notice must be given to each person who on the relevant date is the qualifying tenant of a flat contained in the premises.[10] Where a manager has been appointed in relation to the premises under the Landlord and Tenant Act 1987 a copy of the claim notice must also be given to the court or tribunal by which the manager was appointed.[11]

§ 31:35 Contents of claim notice

A claim notice must satisfy a number of formal requirements identified in s.80 of the 2002 Act and in regulations. In particular it must:

(a) specify the premises and contain a statement of the grounds on which it is claimed that they are premises to which Ch.1 of Pt 2 of the 2002 Act applies;[1]

(b) state the full name of each person who is both the qualifying tenant of a flat in the premises, and a member of the RTM company, the address of their flat and particulars of their lease sufficient to identify it, including the date on which it was entered into, the term for which it was granted,

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[9] *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27. Formerly, in *Elim Court RTM Co Ltd v Avon Freeholds Ltd* [2017] EWCA Civ 89 the Court of Appeal had been pepared to ignore a failure to serve a claim notice on an intermediate landlord which had no management responsibilities (*followed by the Upper Tribunal in Lexham House RTM Co Ltd v European Investments & Development (Properties) Ltd* [2019] UKUT 390 (LC)). In *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27 the Supreme Court declined to endorse that approach in full, see § 31:38.

[10] Section 79(8) of the 2002 Act. A copy of the claim notice may be given by email, rather than a hard copy: *Assethold Ltd v 110 Boulevard RTM Co Ltd* [2017] UKUT 316 (LC), distinguishing *Cowthorpe Road 1-1A Freehold Ltd v Wahedally* [2017] L. & T.R. 4.

[11] Section 79(9) of the 2002 Act.

[Section 31:35]

[1] Section 80(2) of the 2002 Act; the relevant statement need do no more than recite that the requirements of s.72(1) are met i.e. that the premises are a self-contained building or part of a building, with or without appurtenant property, which contains two or more flats held by qualifying tenants, and that the total number of such flats held by qualifying tenants is not less than two-thirds of the total number of flats in the premises. It has been held by the Upper Tribunal that it is not necessary to state whether the building is a self-contained building, as opposed to part of a building, to state whether there is or is not any appurtenant property or to identify it, nor to specify how many flats are occupied by qualifying tenants: *Pineview Ltd v 83 Crampton Street RTM Company Ltd* [2013] UKUT 598 (LC).

and the date of commencement of the term.[2] Where any of the members of the RTM company named in the claim notice was not a qualifying tenant on the relevant day, the claim notice is not invalidated on that account so long as the number of qualifying tenants who were members of the company on the relevant date was not less than half of the total number of flats in the premises on that date;[3]

(c) state the name and registered office of the RTM company;[4]

(d) specify a date, not earlier than one month after the relevant date, by which each person to whom the claim notice was given may give a counter-notice either admitting or disputing the right of the RTM company to acquire the right to manage the premises;[5] and

(e) specify a date, at least three months after the date specified for the giving of counter-notices, on which the RTM company intends to acquire the right to manage the premises.[6]

The claim notice must also contain such other particulars and comply with such requirements regarding form (if any) as may be required or prescribed by regulations made by the appropriate national authority.[7] Regulations applicable to premises in England have been made by the Secretary of State and for premises in Wales by the Welsh Ministers.[8] In each case the regulations include a prescribed form of claim notice and require that the notice contain certain particulars.[9]

§ 31:36 Right to obtain information in connection with claim notice

An RTM company has a right to give a notice requiring that any person provide information in their possession or control which the company reasonably requires

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[2]Section 80(3)–(4) of the 2002 Act.

[3]Section 81(2) of the 2002 Act.

[4]Section 80(5) of the 2002 Act. A failure to provide the correct address of the RTM company has been held to invalidate a claim notice: *Assethold Ltd v 15 Yonge Park RTM Company Ltd* [2011] UKUT 379 (LC); although the registered office must be identified it has been held that it is not necessary that the claim notice require that any counter-notice be served at that address: *Triplerose Ltd v Mill House RTM Company Ltd* [2016] UKUT 80 (LC).

[5]Section 80(6) of the 2002 Act. In *Moskovitz v 75 Worple Road RTM Company Ltd* [2010] UKUT 393 (LC) the Upper Tribunal held that a claim notice was invalid where it specified a date which was earlier than one month after the relevant date; the reasoning was subsequently retracted in *Assethold Ltd v 14 Stansfield Road RTM Company Ltd* [2012] UKUT 262 (LC), but the conclusion seems clearly correct. As to counter-notices see s.84 and § 31:42.

[6]Section 80(1)–(7) of the 2002 Act.

[7]Sections 80(8) and 80(9) of the 2002 Act. The power to make regulations prescribing the procedure for giving effect to the claim notice is conferred on the national authority by s.110(1) of the 2002 Act. The appropriate national authority for England is the Secretary of State, while the Welsh Ministers perform the same function for Wales: s.179(1) of the 2002 Act and para.30, Sch.11 of the Government of Wales Act 2006.

[8]The Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 (SI 2010/85) and the Right to Manage (Prescribed Particulars and Forms) (Wales) Regulations 2011 (SI 2011/2684) respectively. The requirements of the Welsh Regulations are somewhat less prescriptive than those of their English counterpart in that a form of claim notice "to the like effect" to the prescribed form is specifically permitted, provided that all of the prescribed particulars are included: reg.8(2) of the Right to Manage (Prescribed Particulars and Forms) (Wales) Regulations 2011.

[9]Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010, reg.3(1).

in order to provide the particulars required to be included in a claim notice.[1] Where the information is recorded in a document the RTM company may require that a person authorised by it be permitted to inspect the document and may require a copy of the document.[2] The person to whom such a notice is given must comply with it within 28 days.[3] The RTM company is liable for the reasonable costs incurred by a person in complying with a notice to provide information.[4]

§ 31:37 Service of claim notice where landlord or other necessary recipient untraceable

A claim notice may be required to be given to more than one person.[1] If one or more of the required recipients cannot be found, or their identity cannot be ascertained, no claim notice need be given to them.[2] But where none of the persons to whom a claim notice should be given can be found or their identity ascertained, the 2002 Act makes alternative provision for the acquisition of the right to manage.[3] The alternative route is available only where the membership of the RTM company comprises the requisite number of qualifying tenants,[4] and there is no other impediment to the giving of a valid claim notice.[5]

In such a case the RTM company may apply to the appropriate tribunal under s.85 of the 2002 Act for an order that it is to acquire the right to manage.[6] Notice of the application must be given to every person who is the qualifying tenant of a flat contained in the premises and no order may be made unless this requirement has been satisfied.[7] The tribunal may require the company to take steps to trace landlords or other parties to leases of the whole or part of the premises, including advertisement,[8] and if any such person is traced after the making of the application but before an order is made for the acquisition of the right to manage, no

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[Section 31:36]

[1]Section 82(1) of the 2002 Act.

[2]Section 82(2) of the 2002 Act; a document is anything on which information is recorded, and access must be "in an intelligible form": s.112(1) of the 2002 Act.

[3]Section 82(3) of the 2002 Act.

[4]Section 82(3) of the 2002 Act. In default of agreement, the amount of the costs payable by the RTM company is to be determined by the appropriate tribunal. A former requirement that a document need only be provided "on payment of a reasonable fee" was removed with effect from 3 March 2025 by s.50, Leasehold and Freehold Reform Act 2024.

[Section 31:37]

[1]As where, on the relevant day, there is more than one landlord under a lease of the whole or any part of the premises or party to such a lease otherwise than as landlord or tenant, or where a manager appointed under Pt 2 of the Landlord and Tenant Act 1987: s.79(6) of the 2002 Act.

[2]s.79(7) of the 2002 Act; those whose identities are known, or could be ascertained, must still be served.

[3]s.85(1) of the 2002 Act.

[4]Two in the case of premises having only two such tenants, and a number equal to not less than half the number of flats contained in the premises in any other case: s.79(4)–(5) of the 2002 Act.

[5]s.85(1) of the 2002 Act.

[6]s.85(2) of the 2002 Act. In England the appropriate tribunal is the First-tier Tribunal (Property Chamber), while in Wales it is the Leasehold Valuation Tribunal.

[7]Section 85(3) of the 2002 Act; the requirement appears to be to give notice that an application has been made, rather than to give notice of the intention to make an application.

[8]Section 85(4) of the 2002 Act.

further proceedings may be taken with a view to making such an order.[9] Where a necessary recipient is traced the RTM company is treated as having given a claim notice at the date of the application, and the appropriate tribunal may such give directions as it thinks fit for giving effect to the rights and obligations of all persons concerned, including directions modifying or dispensing with the statutory requirements.[10]

An application for an order under s.85 may be withdrawn at any time before an order is made, but where a required recipient has been traced and the appropriate tribunal has given directions for giving effect to rights and obligations under the 2002 Act, an application may not be withdrawn without the consent of the person traced or the consent of the tribunal.[11]

An order made by the appropriate tribunal under s.85 could be challenged by an application for judicial review by a person who would have been entitled to be served with a claim notice had their identity be known.[12]

§ 31:38 Errors, omissions and inaccuracies in claim notices

A claim notice is not invalidated by any inaccuracy in any of the particulars required by or by virtue of s.80.[1] The commentary in § 31:32 regarding inaccuracies in notices of invitation to participate is equally applicable to claim notices.

The use of a claim form in the form prescribed by regulations which had been repealed and replaced by new regulations prescribing a new form (which was not materially different from the original form) has been held to be an inaccuracy which did not invalidate the claim notice.[2] The omission of one of the notes, which was of no application in the circumstances, has been held not to invalidate a claim notice.[3]

A claim notice which failed to provide the correct address of the RTM company has been held to be invalid.[4]

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[9]Section 85(5) of the 2002 Act.

[10]Section 85(6) of the 2002 Act; such directions could include fixing a time for service of a counter-notice by the landlord or other party.

[11]Section 85(7)–(8) of the 2002 Act; the need for consent is conditional on some step having been taken to give effect to s.85(6)(a) which regulates the rights and obligations of all persons concerned once a required recipient has been traced. Curiously the Act spells out that permission to withdraw an application under s.85 may only be given where it appears just that it should be given by reason of matters coming to the knowledge of the RTM company in consequence of the tracing of the person or persons traced: s.85(9) of the 2002 Act.

[12]*A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27.

[Section 31:38]

[1]Section 81(1) of the 2002 Act. In *Assethold Ltd v 14 Stansfield Road RTM Company Ltd* [2012] UKUT 262 (LC) the Upper Tribunal considered that all of the information required by ss.80(2)–(7) were particulars within the scope of s.81(1). The same construction seems likely to apply to s.78(7) of the 2002 Act.

[2]*Assethold v 14 Stansfield Road RTM Company Ltd* [2014] UKUT 262 (LC); the inaccuracy was very limited and amounted to a reference to the 2003 Regulation, rather than the 2010 Regulations (which were in substantially the same form) and to the Companies Act 1985, rather than 2006.

[3]*18 Langdale Road RTM Company Ltd v Assethold Ltd* [2022] UKUT 215 (LC), distinguishing *Triplerose Ltd v Mill House RTM Company Ltd* [2016] UKUT 80 (LC) in which the omission of all of the notes to a notice of invitation to participate invalidated the notice.

[4]*Assethold Ltd v 15 Yonge Park RTM Company Ltd* [2011] UKUT 379 (LC).

§ 31:39 Failure to serve a claim notice

The saving provision in s.81 in favour of a claim notice which contains an inaccuracy does not mean that procedural failures of other types are necessarily fatal to the acquisition of the right to manage.[1]

The Supreme Court has explained that, where the consequence of a failure to follow the procedures for acquiring the right to manage are not stated in the 2002 Act[2] an evaluative approach is required when considering whether a procedural failure (such as a failure to serve a claim notice) has the effect of invalidating the process.[3] The correct question is whether a relevant party has been deprived of a significant opportunity to have their opposition to the acquisition of the right to manage considered, having regard to (a) the objections they could have raised and would have wished to raise and (b) whether, despite the procedural omission, they in fact had the opportunity to have their objections considered. If there was no substantive objection which they could have raised or would have wished to raise, the transfer of the right to manage will be effective notwithstanding the omission. If their objection has in fact been considered in the process, even though the claim notice was not served at the proper time, again they will have lost nothing of significance so far as the regime is concerned and the inference as to Parliament's intention is the same.

Landlords who have been properly served with a claim notice have no right to object to the making of a transfer order on the grounds of some procedural omission which does not affect them if the party directly affected by the omission has chosen not to complain about it. If a party with a potentially valid substantive objection has not been properly served with a claim notice and has been left out of the process, they have a right to apply to the High Court for a determination that the right to manage has not been acquired.[4]

Adopting a different approach, the Court of Appeal had found that the right to manage had been acquired where an intermediate landlord which had no management responsibilities was not given a claim notice.[5] The Supreme Court has not fully endorsed the route taken by the Court of Appeal and instead has emphasised the ordinary expectation that any person whose property or contract rights are to be taken away or subject to significant qualification should have a fair right to raise any arguments of substance they may have to oppose that outcome. Where a management company was not serve with a claim notice, but that omission was fully considered by the tribunal, the transfer of the right to manage was effective.[6]

§ 31:40 Claim notice: Consequence of service

Unless a valid counter-notice is served the consequence of service of a valid claim notice by a properly constituted RTM company on all those required to

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[Section 31:39]

[1] *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27.

[2] As they are in s.79(2) in the case of a failure to give a notice of invitation to participate to every person required to be given one. See § 31:33.

[3] *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27.

[4] *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27.

[5] *Elim Court RTM Co Ltd v Avon Freeholds Ltd* [2017] EWCA Civ 89.

[6] *A1 Properties (Sunderland) Ltd v Tudor Studios RTM Co Ltd* [2024] UKSC 27.

receive one in respect of premises to which the 2002 Act applies is that the right to manage is acquired on the date specified in the claim notice.[1]

The 2002 Act does not permit concurrent claims to acquire the right to manage the same premises. Where any premises have been specified in a claim notice which continues in force, no subsequent claim notice may be given which specifies the same premises or any premises containing or contained in those premises.[2] Once a claim notice has been given it continues in force from the relevant date until the right to manage is acquired by the RTM company, unless it is withdrawn or deemed to have been withdrawn or has ceased to have effect by reason of a provision of Ch.1 of Pt 2 to the 2002 Act.[3]

A notice ceases to have effect if, on an application to the appropriate tribunal for a determination as to its effect, it is finally determined that the company was not entitled to acquire the right to manage at the appropriate date.[4]

§ 31:41 Right of access

The service of a claim notice gives rise to an ancillary right of access to any part of the premises to which the notice relates where it is reasonable in connection with any matter arising out of the claim.[1] The right is exercisable by any person authorised to act on behalf of the RTM company. It is also exercisable by any of those on whom the claim notice ought to have been served, namely, a landlord under a lease of the whole or part of the premises, any other party to such a lease other than a landlord or tenant, or a manager appointed under Pt 2 of the Landlord and Tenant Act 1987 to act in relation to the premises.[2] The right is exercisable at any reasonable time on giving not less than ten days notice to the occupier or person entitled to occupy the premises.

[Section 31:40]

[1]If the premises are not premises to which the 2002 Act applies the right will not be acquired, even if no counter-notice is given: *St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC).

[2]Section 81(3) of the 2002 Act; as s.73(4) prevents the existence of two RTM companies whose object is the acquisition of the right to manage the same premises this prohibition would seem to have no practical effect. If the first claim notice was invalid a second notice may validly be served without the first having been withdrawn: *Avon Freeholds Ltd v Regent Court RTM Company Ltd* [2013] UKUT 213 (LC), applying *Sinclair Gardens Investments (Kensington) Ltd v Poets Chase Freehold Co Ltd* [2008] L. & T.R. 8; *Alleyn Court RTM Co Ltd v Abou-Hamdan* [2012] UKUT 74 (LC).

[3]Section 81(4) of the 2002 Act. A claim notice remains in force (and so prevents the service of a further claim notice) even if it has been found to be invalid by a decision of a tribunal, until the time for bringing an appeal has expired: *Assethold Ltd v 37 Whatman Road RTM Company Ltd* [2014] UKUT 505 (LC). For withdrawal and deemed withdrawal see § 31:45. A notice will cease to have effect where, on an application made to the appropriate tribunal under s.84(3) it is finally determined that, at the relevant date, the RTM company was not entitled to acquire the right to manage: s.84(6).

[4]Section 84(6) of the 2002 Act. A determination becomes final at the end of the period for bringing an appeal (or further appeal) if no appeal is brought, or when an appeal is abandoned or otherwise ceases to have effect: s.84(7)–(8) of the 2002 Act.

[Section 31:41]

[1]Section 83(1) of the 2002 Act.

[2]Section 83(2) of the 2002 Act.

§ 31:42 Counter-notice

Any person who has received a claim notice may give a counter-notice[1] either admitting that on the relevant date the RTM company was entitled to acquire the right to manage the premises specified in the claim notice, or alleging that the company was not entitled to acquire the right. Those entitled to serve a counter-notice therefore include any party to a lease of premises included in the claim notice, other than a landlord or tenant. It is considered that a qualifying tenant of premises included in the claim notice is not entitled to serve a counter-notice.[2] A counter-notice which does not contain an admission is required to specify the provision of the 2002 Act by reason of which it is said that the RTM company was not entitled to acquire the right to manage on the relevant date.[3] The grounds specified in a valid counter-notice may be supplemented by further grounds if the RTM company applies to the appropriate tribunal for a determination that it is entitled to acquire the right.[4]

The date by which a counter-notice must be given is the date specified in the claim notice for that purpose, which must be not less than one month from the date the claim notice was given.[5]

A counter-notice must be in the form and contain the particulars prescribed by regulations made by the appropriate national authority.[6] Regulations applicable to premises in England have been made by the Secretary of State and for premises in Wales by the Welsh Ministers.[7] In each case the regulations include a prescribed form of notice and require that the notice contain certain particulars.[8]

[Section 31:42]

[1]s.84(1) of the 2002 Act. Service of a counter-notice is optional, but if a claim notice is not challenged by the service of a counter-notice the RTM company will acquire the right to manage (assuming it is otherwise entitled to do so) without any further process of investigation.

[2]s.84(1) of the 2002 Act. Only a person who receives a claim notice under s.79(6) is entitled to serve a counter-notice; a qualifying tenant will receive a copy of the claim notice, given under s.79(8), but not the claim notice itself.

[3]s.84(2) of the 2002 Act.

[4]*Fairhold (Yorkshire) Ltd v Trinity Wharf (SE16) RTM Company Ltd* [2013] UKUT 502 (LC). The Upper Tribunal emphasised the importance of any point relied on as defeating the acquisition of the right being taken at the earliest possible stage, but recognised that defects in the procedure may not be apparent to the landlord at the time the counter-notice is served.

[5]s.84(1). There is no power to extend time for service of a counter-notice, nor is there any need for the RTM company to apply to the appropriate tribunal for a determination of its entitlement to acquire the right to manage where a counter-notice has been given late: *Gateway Property Holdings Ltd v 6-10 Montrose Gardens RTM Company Ltd* [2011] UKUT 349 (LC).

[6]s.84(2) of the 2002 Act.

[7]The Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 (SI 2010/85) and the Right to Manage (Prescribed Particulars and Forms) (Wales) Regulations 2011 (SI 2011/2684) respectively. The requirements of the Welsh Regulations are somewhat less prescriptive than those of their English counterpart in that a form of claim notice "to the like effect" to the prescribed form is specifically permitted, provided that all of the prescribed particulars are included: reg.8(2) of the Right to Manage (Prescribed Particulars and Forms) (Wales) Regulations 2011.

[8]Right to Manage (Prescribed Particulars and Forms) (England) Regulations 2010 reg.3(1).

§ 31:43 Counter-notice: Consequences of service

The service of a counter-notice disputing the entitlement of the RTM company to acquire the right to manage triggers a right on the part of the company to apply to the appropriate tribunal for a determination of that entitlement.[1]

The service of a counter-notice also has the effect of delaying the acquisition of the right to manage until a final determination of the company's entitlement to acquire the right is made on an application to the appropriate tribunal (which must be made within two months of the giving of the counter-notice),[2] or until the givers of the counter-notice agree in writing that the company was entitled to acquire the right to manage the premises on the relevant date.[3]

§ 31:44 Service of notices

Any notice required to be given by the right to manage provisions of the 2002 Act must be in writing and may be sent by post.[1]

Unless a different address in England or Wales has been notified to the RTM company as the address at which a person wishes to receive notices for the purpose of the 2002 Act, an RTM company may serve notices on a landlord at the address last given to a member of the company as that landlord's address for service in accordance with s.48, Landlord and Tenant Act 1987, or if no such address has been given, the address on rent or service charge demands.[2] A notice may not be given (by any method) at an address given to a member of the RTM company for the purpose of ss.47 or 48 of the 1987 Act if a different address has been given to the RTM company itself as a person's address for the purpose of receiving notices under the 2002 Act, and an address given to members will not be taken to countermand an address previously given to the company itself.[3] An RTM company may give notice to the qualifying tenant of a flat at the flat unless it has been noti-

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[Section 31:43]

[1]s.84(3) of the 2002 Act. In England the appropriate tribunal is the First-tier Tribunal (Property Chamber), while in Wales it is the Leasehold Valuation Tribunal. The application must be made by the RTM company itself, not by its members, but the form provided for this purpose by the First-tier Tribunal may cause confusion: *Assethold Ltd v 20 Upper Wickham RTM Co Ltd* [2019] UKUT 368 (LC).

[2]s.84(4) of the 2002 Act. Where more than one counter-notice was given, an application must be made to the appropriate tribunal not later than the end of the period of two months beginning with the day on which the last of the counter-notices was given.

[3]s.84(5) of the 2002 Act. A determination becomes final for this purpose at the end of the period for bringing an appeal, or on the disposal of an appeal (or any further appeal) if one is brought; an appeal is disposed of when it is determined and the period for bringing any further appeal has ended, or when the appeal is abandoned or otherwise ceases to have effect: s.84(7)–(8).

[Section 31:44]

[1]s.111(1) of the 2002 Act. Where the Act requires the service of a copy of a notice it has been held that this may be achieved by e-mail: *Assethold Ltd v 110 Boulevard RTM Co Ltd* [2017] UKUT 316 (LC), distinguishing *Cowthorpe Road 1-1A Freehold Ltd v Wahedally* [2017] L. & T.R. 4.

[2]s.111(2)–(4) of the 2002 Act. A notice informing the RTM Company of an address at which "future communications concerning the subject matter of the [claim] notice" should be served was sufficient to mandate that address for all communications: *Assethold Ltd v 429 New Cross Road RTM Co Ltd* [2024] UKUT 113 (LC).

[3]*Gateway Property Holdings Ltd v Ross Wharf RTM Company Ltd* [2016] UKUT 97 (LC); in the same case the Upper Tribunal left open the question whether a claim notice given at a section 48 address to a landlord which had notified an RTM company of a different address for service was a nullity, as being contrary to s.111(4) of the 2002 Act.

fied by the qualifying tenant of a different address in England and Wales at which he wishes to be given any such notice.[4] These provisions are permissive rather than compulsory, but they have the effect that a notice received at the appropriate address will be properly served, whether or not it comes to the attention of the addressee; if service is effected at a different address the risk of non-receipt will lie with the giver of the notice.[5]

§ 31:45 Withdrawal and deemed withdrawal of claim notice

A claim notice may be withdrawn by the RTM company which gave it at any time before the right to manage is acquired by giving a notice of withdrawal to every person who is a landlord, or party to a lease of the whole or any part of the premises other than as landlord or tenant, to any manager appointed under the Landlord and Tenant Act 1987 and to every qualifying tenant of a flat in the premises.[1] Service of a notice of withdrawal on the landlord is critical and fixes the date of withdrawal, whereas service on the qualifying tenants has been regarded as a subordinate requirement which, if delayed or even omitted, may not invalidate the withdrawal.[2]

A claim notice will be deemed to have been withdrawn if a counter-notice disputing the entitlement of the RTM company to acquire the right to manage has been given and no application has been made to the appropriate tribunal for the determination of that entitlement within the period of two months allowed by s.84(4) of the 2002 Act,[3] or, where such an application has been made, if it is subsequently withdrawn.[4] There is no deemed withdrawal if, before the expiry of the time for making an application to the tribunal, all those who gave counter-notices have agreed in writing that the RTM company was entitled to acquire the right to manage.[5]

A claim notice will also be deemed to have been withdrawn if a winding-up or administration order is made, or a resolution for voluntary winding-up is passed, with respect to the RTM company, a receiver or manager of its undertaking is appointed, a floating charge over its property is enforced, a voluntary arrangement

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[4] s.111(5).

[5] *Avon Freeholds Ltd v Regent Court RTM Company Ltd* [2013] UKUT 213 (LC).

[Section 31:45]

[1] Section 86(1) of the 2002 Act. There is no prescribed form for a notice of withdrawal of a claim notice. The effect of a notice will be determined objectively by reference to the information it would convey to a reasonable recipient who was familiar with the statutory scheme: *Eastern Pyramid Group Corp SA v Spire House RTM Co Ltd* [2021] EWCA Civ 1658.

[2] *Eastern Pyramid Group Corp SA v Spire House RTM Co Ltd* [2021] EWCA Civ 1658.

[3] To be valid, an application must ask for a determination that the applicant is entitled to the right to manage; an application which fails to do so will not be cured by a saving provision in tribunal procedure rules: *Lough's Property Management Ltd v Robert Court RTM Co Ltd* [2019] UKUT 105 (LC).

[4] Section 87(1) of the 2002 Act. The withdrawal is deemed to take place on the expiry of the time for making an application to the tribunal, or on the date of withdrawal of such an application: s.87(2). It is implicit in these provisions that an application to a tribunal for a determination of entitlement may be withdrawn, but no separate description of the process of withdrawal is provided by the 2002 Act; it is nonetheless apparent that withdrawal requires the consent of the appropriate tribunal, which permits a proper consideration of the costs of the proceedings: *R. (on the application of O Twelve Baytree Ltd) v Leasehold Valuation Tribunal* [2014] EWHC 1229 (Admin), [2015] 1 W.L.R. 276.

[5] Section 87(3) of the 2002 Act.

is approved under Pt 1 of the Insolvency Act 1986 or the company's name is struck off the register of companies voluntarily or because it is not carrying on business.[6]

§ 31:46 Costs incurred in consequence of claim notice—The former rule before 3 March 2025

Formerly, until 3 March 2025, as a general rule an RTM company was liable for the reasonable costs incurred in consequence of a claim notice by a landlord, or by a party to a lease other than a landlord or tenant, or by a manager of the premises appointed under the Landlord and Tenant Act 1987.[1] By way of exception to that general rule, costs incurred in proceedings before the appropriate tribunal[2] were payable only if an application by the RTM company for a determination that it was entitled to acquire the right to manage was dismissed by the tribunal.[3] A landlord (or other relevant party) was therefore entitled (at the expense of the RTM company) to investigate and deal with a claim up to the point at which tribunal proceedings commenced, whether the claim was ultimately successful or not.[4] On an appeal to the Upper Tribunal the general rule applied and the RTM company was liable for costs reasonably incurred by the other party.[5]

Formerly, where a claim notice was withdrawn, deemed to have been withdrawn, or otherwise ceases to have effect, each person who was or had been a member of the RTM company was also liable for the same costs, jointly and severally with the company.[6]

The statutory entitlement to costs arose automatically and no order of a tribunal was required to create it.[7]

Having commenced proceedings relying on the validity of a claim notice, an

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[6]Section 87(4) of the 2002 Act; see also ss.1000-1003 of the Companies Act 2006.

[Section 31:46]

[1]Section 88(1) of the 2002 Act. The "landlord" for this purpose means the registered proprietor of the interest in reversion to the lease, and the RTM company is not liable to pay costs incurred by a purchaser of that interest whose title has not yet been registered: *159-167 Prince of Wales Road RTM Co Ltd v Assethold Ltd* [2024] EWCA Civ 1544.

[2]The appropriate tribunal means, in relation to premises in England, the First-tier Tribunal, or where determined by tribunal procedure rules, the Upper Tribunal: s.112(1) of the 2002 Act. The reference to the Upper Tribunal is to the Upper Tribunal when it exercises a first instance jurisdiction on the transfer to it of an application for determination under rule 25 of the Tribunal Procedure (First-tier Tribunal) (Property Chamber) Rules 2013: *Albion Residential Ltd v Albion Riverside Residents RTM Company Ltd* [2014] UKUT 6 (LC).

[3]Section 88(3) of the 2002 Act.

[4]*Columbia House Properties (No.3) Ltd v Imperial Hall RTM Company Ltd* [2014] UKUT 30 (LC).

[5]*Albion Residential Ltd v Albion Riverside Residents RTM Company Ltd* [2014] UKUT 6 (LC); *Fencott Ltd v Lyttleton Court RTM Co Ltd* [2014] UKUT 27 (LC); in both cases a landlord which had succeeded in an appeal to the Upper Tribunal against a determination of the first-tier tribunal that the right to manage had been acquired was held to be entitled to its costs of the appeal and of the proceedings before the first-tier tribunal.

[6]Section 89(3) of the 2002 Act; this joint and several liability arose only where the claim notice did not result in the acquisition of the right to manage; where the right was secured only the RTM company had a liability for the costs reasonably incurred by landlords and other relevant third parties. The liability did not arise if a qualifying tenant assigned the lease to another person who became a member of the RTM company.

[7]*Albion Residential Ltd v Albion Riverside Residents RTM Company Ltd* [2014] UKUT 6 (LC); *Fencott Ltd v Lyttleton Court RTM Company Ltd* [2014] UKUT 27 (LC).

RTM company was prevented from relying on the invalidity of the same notices as a reason why it should not be liable for costs incurred by the recipient of the notice.[8] But, where an RTM company commenced tribunal proceedings against a purchaser of the landlord's reversionary interest whose title had not yet been registered and which was therefore not yet the landlord, the RTM company was not estopped from denying that the party whom it had joined in the proceedings was entitled to its costs when the proceedings were withdrawn.[9]

As a protection against abuse, costs incurred in respect of professional services were only regarded as reasonable (and therefore recoverable) to the extent that they might reasonably have been expected to have been incurred if the person claiming to recover them had been personally liable to pay them, without the benefit of a statutory entitlement to reimbursement by the RTM company.[10]

§ 31:47 Costs incurred in consequence of claim notice—The new rule from 3 March 2025

With effect from 3 March 2025, the former general rule was reversed. An RTM company and its members are not liable for any costs incurred by any other person in consequence of a claim notice given by the company, except in specified circumstances.[1] The new rule overrides any term of a lease, transfer, contract or other arrangement having a contrary effect.[2] Additionally, the costs of proceedings under the right to manage provisions of the 2002 Act are not to be regarded as relevant costs to be taken into account in determining the amount of a variable service charge payable by any person whether or not they are party to the proceedings and so may not be recovered through a service charge from the members of an RTM company.[3] Nor may non-litigation costs incurred by a landlord in connection with a right to manage claim be treated as relevant costs for the purpose of determining a service charge payable by a non-participating tenant in relation to the claim.[4]

There are two main exceptions to the new general rule. First, an RTM company and its members are liable for costs which they are ordered to pay in connection with proceedings before a court or tribunal which has power under an enactment

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[8] *Plintal SA v 36-48A Edgewood Drive RTM Co Ltd* LRX/16/2007.

[9] *159-167 Prince of Wales Road RTM Co Ltd v Assethold Ltd* [2024] EWCA Civ 1544.

[10] Section 88(2) of the 2002 Act; the existence of this protection, and the fact that the recipient of a claim notice has a statutory entitlement to recover certain costs assessed in accordance with it, have caused the Upper Tribunal to doubt that the normal indemnity principle applies to such costs: Re: *Triplerose Ltd v Mill House RTM Company Ltd* [2016] UKUT 80 (LC).

[Section 31:47]

[1] Section 87A(1) of the 2002 Act, inserted with effect from 3 March 2025 by s.50(3), Leasehold and Freehold Reform Act 2024.

[2] Section 87A(2) of the 2002 Act. Specific provision is made in section 87A(3) and (4) preserving the liability of an RTM company to its members, and vice versa, and the liability of members to each other to the extent agreed between them.

[3] Section 20CA(1) of the Landlord and Tenant Act 1985, inserted by s.62(3), Leasehold and Freehold Reform Act 2024 with effect from a date to be appointed. The appropriate tribunal may not make an order under s.20CA(2) permitting recovery of a landlord's litigation costs incurred in proceedings under the right to manage provisions of the 2002 Act: section 20CA(3), Landlord and Tenant Act 1985.

[4] Section 20J(1), Landlord and Tenant Act 1985, as inserted by s.64, Leasehold and Freehold Reform Act 2024 with effect from 3 March 2025.

other than the 2002 Act to order payment of costs.[5] Secondly, under s.87B of the 2002 Act the appropriate tribunal may order an RTM company to pay costs which have been reasonably incurred in consequence of a claim notice given by the company if the claim notice is withdrawn or otherwise ceases to have effect by reason of one of the right to manage provisions of the 2002 Act, and the RTM company acted unreasonably in giving the claim notice or in not withdrawing it or causing it to cease to have effect sooner. Such an order may only be made in favour of an applicant who is party to a lease of the whole or any part of the premises as landlord, or otherwise than as landlord or tenant, or a manager of the premises appointed under the Landlord and Tenant Act 1987. The power to award costs applies only to costs incurred before the claim notice is withdrawn, or is deemed withdrawn, or ceases to have effect, and only to costs incurred other than in connection with proceedings before a court or tribunal.[6] The effect of an order made by the appropriate tribunal under s.87B against an RTM company is that each person who is or has been a member of the RTM company is also liable (jointly and severally with the RTM company and each other such person).[7]

V. ACQUISITION, EXERCISE AND CESSATION OF THE RIGHT TO MANAGE

§ 31:48 Manner of acquisition

As previously explained, the right to manage is not acquired by agreement or in consequence of the order of a tribunal,[1] but is conferred by the 2002 Act on an RTM company which correctly follows the statutory procedure for making a claim provided all of the relevant conditions have been met.[2] No confirmation of the successful acquisition of the right is provided for by the 2002 Act except where the RTM company's entitlement is challenged by a recipient of the claim notice giving a counter-notice, in which case the right will not be acquired unless a determination of entitlement is obtained from the appropriate tribunal. There is no specific procedure under the 2002 Act for any other party not entitled to receive a claim notice but nonetheless affected by the RTM company's acquisition of the right to dispute that the right is applicable or that the statutory procedures have been properly implemented.[3] The successful acquisition of the right to manage interferes with the contractual rights of qualifying tenants and third parties without any apparent entitlement to compensation.

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[5]Section 87A(5) of the 2002 Act. An example would be an order against a party which has acted unreasonably for the payment of costs under r.13(1)(b), Tribunal Procedure (First-tier Tribunal) (Property Chamber) Rules 2013.

[6]Section 87B(1)–(2) of the 2002 Act.

[7]Section 87B(3) of the 2002 Act. A former member is not liable once they have assigned their lease to another person who has become a member of the RTM company: s.87B(4). It would be prudent precaution for members of an RTM company who wish to assign their lease to require their assignee to become a member of the company.

[Section 31:48]

[1]With the sole exception of an order under s.85 of the 2002 Act where none of those to whom a claim notice is required to be given can be traced, see § 31:37.

[2]*Alleyn Court RTM Co Ltd v Abou-Hamdan* [2012] UKUT 74 (LC).

[3]The appropriate tribunal has no jurisdiction to entertain an application by any party other than an RTM company for a determination under s.84(3) of the 2002 Act that the right to manage has been acquired, nor any jurisdiction at all to make such a determination in the absence of a counter-notice. Despite the availability of any specific statutory procedure, third parties, such as a tenant of part of the premises or an existing managing agent, who are not parties to any determination by the tribunal

§ 31:49 The acquisition date

It is a requirement of a claim notice that it specify the date, not less than four months after the date of the claim notice, on which the RTM company intends to acquire the right to manage.[1] If no counter-notice disputing the company's entitlement is served by a person to whom the claim notice is given, the right to manage is acquired on the date specified in the claim notice.[2]

If a counter-notice disputing the entitlement of the RTM company to acquire the right to manage is served by someone to whom a claim notice has been given, the right will not be acquired unless either a determination of entitlement is obtained by the company on an application to the appropriate tribunal, or the person by whom the counter-notice was given agrees in writing that the company was entitled to acquire the right on the relevant date.[3] In the former case the acquisition date is three months after the date on which the determination of entitlement becomes final.[4] In the latter case the acquisition date is three months from the date of the agreement in writing.[5]

Where no required recipient of a claim notice can be traced, so that an application must be made to the appropriate tribunal for an order under s.85, 2002 Act

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that the right to manage has been acquired but whose rights are affected, could presumably challenge the acquisition of the right to manage in proceedings before the court. Even a recipient of a claim notice who failed to serve a counter-notice may be entitled to dispute the acquisition of the right, at least on the grounds that the statutory procedures were not applicable: *St Stephens Mansions RTM Co Ltd v Fairhold NW Ltd* [2014] UKUT 541 (LC).

[Section 31:49]

[1]s.80(7) of the 2002 Act; the date of acquisition specified in the claim notice must be at least three months after the last date for giving a counter-notice under s.84, which must itself be specified in the claim notice and be not less than one month after the relevant date on which the claim notice is given: s.80(6).

[2]s.90(2)–(3) of the 2002 Act.

[3]If no application to the appropriate tribunal is made within two months of a counter-notice challenging the RTM company's entitlement, the claim notice is deemed to have been withdrawn: s.87(1) of the 2002 Act.

[4]s.90(4) of the 2002 Act; a determination of entitlement becomes final, if it is not appealed against, at the end of the period for bringing an appeal, or, if it is appealed against, at the time when the appeal (or any further appeal) is disposed of: s.84(7) of the 2002 Act; an appeal is disposed of if it is determined and the time for any further appeal has ended, or if it is abandoned or otherwise ceases to have effect: s.84(8) of the 2002 Act. In the case of a decision of the first-tier tribunal, an application for permission to appeal must be made within 28 days of the date of sending of the reasons for the decision (rule 52(2) of the Tribunal Procedure (First-tier Tribunal) (Property Chamber) Rules 2013) but if permission is refused a further application may be made to the Upper Tribunal within 14 days of the date on which notice of refusal was sent to the applicant (rule 21(2) of the Tribunal Procedure (Upper Tribunal) (Lands Chamber) Rules 2010); both periods may be extended by the relevant tribunal. It is therefore considered that (subject to any extension) the date of acquisition will be three months after the date which is 28 days after the sending of the reasons for the decision, unless an application to the first-tier tribunal for permission to appeal is made and refused, in which case the three months will run from 14 days after notice of refusal of that application is sent. If permission to appeal is granted the running of the three month period will be delayed until the conclusion of the appeal and the expiry of time for an application for permission for a further appeal to the Court of Appeal (a further 1 month: rule 55(2), Tribunal Procedure (Upper Tribunal) (Lands Chamber) Rules 2010).

[5]s.90(5) of the 2002 Act; where more than one counter-notice has been given challenging entitlement the period of three months begins on agreement by the last challenger.

that the RTM company is to acquire the right to manage, the acquisition date is the date specified in the order.[6]

§ 31:50 Obligations of landlords etc

Once an RTM company's entitlement to acquire the right to manage becomes undisputed duties are imposed on landlords and others to take steps ancillary to the assumption of management by the company. These duties are concerned with giving notice to contractors under management contracts,[1] the provision of information[2] and the transfer of accrued uncommitted service charges.[3]

§ 31:51 Notice of management contracts

A management contract is a contract between a manager of the premises[1] and a contractor under which the contractor agrees to provide services or do other things relating to a function which will become a function of the RTM company once it acquires the right to manage.[2] If such a contract is in existence at the determination date or is created between that date and the acquisition date it is referred to as an "existing management contract"[3] and there is a duty to give notice of it.

The manager under a management contract, who will typically be the landlord or a management company, is required to give notice in relation to the contract to the contractor and to the RTM company.[4]

The notice to be given to a contractor (i.e. any party to the contract other than the manager) is referred to as a "contractor notice".[5] It must identify the contract in relation to which it is given, and state that the right to manage the premises is to be acquired by the RTM company from the acquisition date, which must be specified; the name and registered office of the company must also be given as must any other particulars required by regulations.[6] A contractor who receives a contractor notice must in turn give a contract notice of its own to any sub-contractor together with a copy of the contract notice it has received.[7]

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[6] s.90(6) of the 2002 Act.

[Section 31:50]

[1] ss.91-92 of the 2002 Act, see § 31:51 below.

[2] s.93 of the 2002 Act, see § 31:52 below.

[3] s.94 of the 2002 Act, see § 31:53 below.

[Section 31:51]

[1] A manager of the premises (referred to in the Act as a "manager party") is any person who is a landlord or party other than a landlord or tenant under a lease of the whole or part of the premises, or a manager appointed under Pt 2 of the Landlord and Tenant Act 1987: s.91(4) of the 2002 Act; each such person is required by s.79(6) to be given a claim notice.

[2] s.91(2) of the 2002 Act.

[3] s.91(3) of the 2002 Act.

[4] s.92(1) of the 2002 Act.

[5] s.92(1)(a) of the 2002 Act.

[6] s.92(3) of the 2002 Act. No regulations have yet been made prescribing the form or particulars to be contained in a contractor notice.

[7] s.92(4)–(5) of the 2002 Act.

The notice to be given to the RTM company is referred to as a "contract notice"[8] and must give particulars of the contract, the contractor and any sub-contractor, as well as any other particulars required by regulations.[9]

Contractor notices and contract notices must both be given on the "determination date" (or the date of the contract, if later), or as soon as is reasonably practicable after that date.[10] Where there is no dispute about the entitlement of the RTM company to acquire the right to manage, the "determination date" is the same date as is specified in the claim notice as the date from which the company intends to acquire the right;[11] otherwise it is the date on which a determination of entitlement by the appropriate tribunal becomes final or any objectors agree in writing that the company was entitled to acquire the right.[12]

§ 31:52 The duty to provide information

As well as the right to receive notice of management contracts on or shortly after the time when the entitlement to acquire the right to manage becomes undisputed, an RTM company has a right to the provision of information and to inspect and receive copies of documents required in connection with the management of the premises after the acquisition date.[1] Where the right to manage is to be acquired, the RTM company may give notice to a landlord or tribunal appointed manager of the premises, or to any other party to a lease of the premises (such as a management company), requiring that it provide any information in its possession or control which the company reasonably requires in connection with the exercise of the right to manage.[2]

It is not clear whether the right to information is a continuing right, or is exercisable only between the date on which the company's entitlement to acquire the right to manage becomes undisputed and the acquisition date; in any event, such a notice may not require any person to do anything before the acquisition date.[3] Subject to that restriction, a notice requiring information must be complied with by the recipient within 28 days beginning with the date on which the notice is given.[4]

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[8] s.92(1)(b) of the 2002 Act.

[9] s.92(7) of the 2002 Act. No regulations have yet been made.

[10] s.92(2)(a) of the 2002 Act. For contractor notices to be given to sub-contractors; see s.92(6) of the 2002 Act.

[11] Section 91(5)(a) of the 2002 Act.

[12] Section 91(5)(b)–(c) of the 2002 Act; for the date on which a determination becomes final see § 31:49 above.

[Section 31:52]

[1] A "document" means anything in which information is recorded, s.112(1) of the 2002 Act, and so includes electronic files.

[2] Section 93(1) of the 2002 Act; the right to inspect documents and to require the provision of copies is conferred by s.93(2). By this means the RTM company will be able to obtain copies of leases and details of service charge accounts.

[3] Section 93(3) of the 2002 Act. The right to give a notice under s.93(1) is exercisable "where the right to manage is to be acquired", but information may not be required to be provided before the acquisition date. The better view would seem to be that the right to require information may only be exercise before the acquisition date.

[4] Section 93(4) of the 2002 Act; the requirement to provide information may be enforced by an order of the appropriate tribunal obtained under s.107 of the 2002 Act.

§ 31:53 The duty to pay accrued uncommitted service charges

A landlord, management company or other party to a lease of the premises, or a manager appointed under Pt 2 of the Landlord and Tenant Act 1987 is under a duty to pay to the RTM company a sum equal to the amount of any "accrued uncommitted service charges" held by them on the acquisition date.[1] The amount which is payable is the aggregate of any sums paid to the person by way of service charges and any investments which represent such sums (together with any income which has accrued on those investments), after deducting so much of that aggregate as is required to meet the costs incurred before the acquisition date in connection with the matters for which the service charges were payable.[2]

The duty to pay over accrued uncommitted service charges must be complied with on the acquisition date or as soon as is reasonably practicable thereafter.[3] There are two routes for the resolution of disputes in relation to the duty. The amount of any payment which falls to be made may be determined by the appropriate tribunal[4] on an application made either by the RTM company or by the person subject to the duty,[5] but the tribunal lacks enforcement powers and cannot compel payment. The requirement to make the payment itself may be enforced by an order of the county court.

§ 31:54 Transfer of management functions under leases

Where the right to manage has been acquired s.96 to s.103 of the 2002 Act are engaged and provide the statutory basis for the exercise of the right.[1] The key operative provisions effect a statutory substitution of the RTM company as the person responsible for "management functions" relating to the whole or part of the premises and impose a prohibition on other parties exercising the same functions. Management functions are functions with respect to services, repairs, maintenance, improvements, insurance and management;[2] functions relating to the grant of approvals are also transferred.[3]

The RTM company has no obligation to share management with anyone and acquires the right to perform its allotted functions itself, to the exclusion of any participation by the landlord, a third party manager or a manager appointed

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[Section 31:53]

[1]Section 94(1) of the 2002 Act; "service charge" has the same meaning as under s.18 of the Landlord and Tenant Act 1985; s.112(1) of the 2002 Act.

[2]Section 94(2) of the 2002 Act; only sums still held by the landlord or other relevant person are subject to the duty to make payment, and s.94 does not provide a route for the recoupment of historic overpayments of service charges: *OM Ltd v New Riverhead RTM Company Ltd* [2010] UKUT 394 (LC).

[3]Section 94(4) of the 2002 Act.

[4] As occurred in *Churchill Retirement Living Ltd v Hampton Lodge RTM Company Ltd* [2026] UKUT 164 (LC). In England the appropriate tribunal is the First-tier Tribunal (Property Chamber), while in Wales it is the leasehold valuation tribunal.

[5]Section 94(3) of the 2002 Act.

[Section 31:54]

[1]Section 95 of the 2002 Act; the section cease to apply when the right to manage ceases to be exercisable.

[2]Section 96(5) of the 2002 Act. This list of functions, and the excluded functions in s.96(6), are subject to amendment by order: s.96(7).

[3]Sections 98-99 of the 2002 Act; see § 31:56 below.

under the 1987 Act.[4] From the date on which the right to manage is acquired all of the management functions of the landlord under a lease of the whole or any part of the premises become instead management functions of the RTM company,[5] as do management functions of a management company or any other person who is party to such a lease other than as landlord or tenant.[6] The statute relieves landlords and others with responsibility for management functions of their contractual obligations by stipulating that any provision of a lease dealing with such responsibilities ceases to have effect.[7] Moreover, it prohibits the exercise of management functions by any such person otherwise than in accordance with an agreement made with the RTM company.[8] The responsibilities of a manager appointed by a tribunal under Pt 2, Landlord and Tenant Act 1987 to act in relation to the premises cease to be exercisable by the manager when the right to manage is acquired by an RTM company, although the appointment does not come to an end and the manager will retain any functions which are not conferred on the RTM company.[9] The obligations which the RTM company owes to tenants as a result of this transfer of responsibility are owed also to each landlord under the same lease.[10]

Certain management functions are excluded. Functions which concern only a flat or other unit forming part of the premises which is not held under a lease by a qualifying tenant do not become functions of the RTM company.[11] Thus, management functions in relation to flats which are not held on long leases or to business premises are not transferred and the landlord or management company retains responsibility. Functions relating to re-entry or forfeiture also remain with the landlord.[12] Finally, the prohibition on a landlord or other party doing anything which the RTM company is empowered to do does not prevent any person from insuring the whole or any part of the premises at their own expense.[13]

The Act makes no provision concerning the enforcement of contracts entered into by the landlord or a management company in relation to the premises before the acquisition of the right to manage (for example for the provision of cleaning or security services).[14] The RTM company does not become party to such contracts and is free to make contracts of its own with alternative suppliers or service providers. No statutory entitlement to compensation is conferred on third parties who may suffer loss as a result of their inability to benefit from contracts as a result of the acquisition of the right to manage.

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[4] *Firstport Property Services Ltd v Settlers Court RTM Co Ltd* [2022] UKSC 1, at [35].

[5] Section 96(2) of the 2002 Act.

[6] Section 96(3) of the 2002 Act.

[7] Section 96(4) of the 2002 Act.

[8] s.97(2) of the 2002 Act.

[9] *Benthan v Lindsay Court (St Annes) RTM Co Ltd* [2021] UKUT 4 (LC).

[10] Section 97(1) of the 2002 Act.

[11] Section 96(6)(a) of the 2002 Act. A "unit" is defined in s.112(1) and means a flat or any other separate set of premises which is constructed or adapted for use for the purposes of a dwelling, or a separate set of premises let or intended for letting on a business tenancy. The common parts of a building are therefore not a unit and management functions relating to them become functions of the RTM company.

[12] Section 96(6)(b) of the 2002 Act.

[13] Section 97(3) of the 2002 Act; both the RTM company and a landlord or other party may insure but only the RTM company will have the right to reimbursement through a service charge or covenant.

[14] Contracts of employment will be covered by the Transfer of Undertakings (Protection of Employment) Regulations 2006.

§ 31:55 Enforcement of tenant covenants

The transfer of management functions is accompanied by a transfer of the benefit of the obligations (or "functions") of tenants of leases of the whole or part of the premises which relate to the functions now to be performed by the RTM company.[1] The RTM company is therefore entitled to collect service charges or insurance rents, although not in respect of costs incurred before it acquired the right to manage,[2] and only in accordance with the terms of the lease.[3]

Covenants falling to be complied with by the tenant but which do not relate to management functions transferred to the RTM company on the acquisition of the right to manage are referred to as "untransferred tenant covenants".[4] Such covenants remain enforceable by the landlord or other covenantee but are additionally enforceable by the RTM company in the same manner as they are enforceable by any such person,[5] although not by re-entry or forfeiture.[6]

An RTM company is required to keep under review whether tenant covenants are being complied with, and within three months of becoming aware of any failure to comply to report such failure to the landlord.[7] The obligation to report non-compliance lapses if the failure has been remedied, reasonable compensation has been paid in respect of the failure or the landlord has notified the RTM company that it need not report breaches of that description.[8]

§ 31:56 Approvals

The RTM company's powers of management extend to the granting of approvals[1] under long leases of the whole or any part of the premises (other than flats or other units not held under a lease by a qualifying tenant).[2] Where a landlord or other party has functions in relation to the grant of approvals to a tenant (for

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[Section 31:55]

[1]Section 97(4) of the 2002 Act.

[2]Section 97(5) of the 2002 Act.

[3]The RTM company may be able to obtain a variation of relevant leases by an application under s.35, Landlord and Tenant Act 1987, if the leases fail to make satisfactory provision for the recovery of its expenditure for the benefit of leaseholders: *56 Westbourne Terrace RTM Co Ltd v Polturak* [2025] UKUT 88 (LC).

[4]Section 100(4) of the 2002 Act. Untransferred covenants are obligations owed to the landlord and do not provide a means of enforcing obligations to another RTM company managing joint facilities: *G & A Gorrara Ltd v Kenilworth Court Block E RTM Co Ltd* [2022] UKUT 90 (LC).

[5]Section 100(2) of the 2002 Act. The direction that untransferred covenants are enforceable by the RTM company "in the same manner" as others entitled to enforce them means that the RTM company can apply to the appropriate tribunal for a determination under s.168(4), Commonhold and Leasehold Reform Act 2002 that a breach of covenant has been committed: *Eastpoint Block A RTM Co Ltd v Otubaga* [2023] EWCA Civ 879.

[6]s.100(3) of the 2002 Act. Any ancillary power under a lease of a landlord or other party (other than a tenant) to enter any part of the premises to determine whether a tenant is complying with an untransferred covenant is also exercisable by the RTM company: Section 100(5).

[7]Section 101(2)–(3) of the 2002 Act.

[8]Section 101(4) of the 2002 Act.

[Section 31:56]

[1]An "approval" includes the grant of any consent or licence as well as any approval required by a restriction registered against the title to a long lease at HM Land Registry: s.98(7) of the 2002 Act.

[2]Section 98(1) of the 2002 Act.

example the approval of the grant of a sublease or of alterations) in relation to a lease, those functions become functions of the RTM company[3] and any provisions of the lease requiring the consent of a landlord or other party to the lease do not have effect.[4] The tenant must instead seek the approval of the RTM company.[5]

Before giving its approval the RTM company must first give notice of the request to each landlord under the relevant lease.[6] The required period of notice is 30 days in the case of an approval relating to assignment, underletting, charging, parting with possession, change of use or the making of structural alterations, and 14 days in any other case.[7] If the landlord objects to the approval within the period of notice, the RTM company may only grant the approval in accordance with the written agreement of the objecting landlord or in accordance with a determination obtained from the appropriate tribunal.[8] Any such objection must be made by giving notice in writing to the RTM company, to the tenant and, if the approval relates to an act by a sub-tenant, to that sub-tenant.[9] An objection to the grant of an approval may only be made where the landlord would have been entitled to withhold the approval if the function of granting approvals had not been transferred to the RTM company.[10]

§ 31:57 Other statutory functions

A raft of statutory functions and duties applicable to landlords in relation to the condition and repair of premises, service charges, insurance, consultation with recognised tenants' associations, rights of first refusal and others are modified by

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[3]Section 98(2) of the 2002 Act. The terms implied into covenants not to assign without approval by s.19, Landlord and Tenant Act 1927 are modified by s.102 and Sch.7 para.1 of the 2002 Act. Similarly the statutory duties imposed by the Landlord and Tenant Act 1988 in relation to consideration of requests for licence to assign or sub-let apply to RTM companies by s.102 and Sch.7 para.13 of the 2002 Act.

[4]Section 98(3) of the 2002 Act.

[5]Section 98(6) of the 2002 Act; the obligation of a tenant to seek approval is referred to as a "function" of the tenant.

[6]s.98(4) of the 2002 Act. Because an RTM company must not grant consent without first giving notice to each landlord entitled to receive it, it will not be treated as having withheld its consent unreasonably if it fails to give the required notice, although it is likely to be in breach of its obligations under s.1(3) or s.2 of Landlord and Tenant Act 1988; and any person interested, including a lessee, could apply to the appropriate tribunal under s.107 of the 2002 Act for an order requiring the company to comply; the common law rule that a tenant will be entitled to assign or sublet, without breach of covenant, if consent has been withheld unreasonably will therefore not be engaged: *Reiner v Triplark* [2018] EWCA Civ 2151; [2019] 1 W.L.R. 2003.

[7]Section 98(4) of the 2002 Act. The prescribed period of notice may be varied by regulations made by the appropriate national authority: s.98(5).

[8]Section 99(1) of the 2002 Act. An application for a determination may be made to the appropriate tribunal (in England the First-tier Tribunal (Property Chamber); in Wales a leasehold valuation tribunal) by the RTM company, the landlord, the tenant, or a sub-tenant: s.99(5).

[9]Section 99(1) of the 2002 Act; if the landlord is prepared to concur in the approval if any condition or requirement is satisfied that must also be stated).

[10]Section 99(2) of the 2002 Act; similarly, only conditions which the landlord could have insisted on if the right to grant approvals had remained with it may be required: s.99(3).

the 2002 Act to apply equally to RTM companies in respect of premises which they manage.[1] The full list of statutes amended in this way is at § VIIA:3.

Part 4 of the Building Safety Act 2022 imposes extensive duties relating to building safety risks on the "accountable person" in respect of any "higher risk building". A higher risk building is a building in England that is at least 18 metres in height or has at least seven storeys, and contains at least two residential units.[2] A person who is under a repairing obligation in relation to any part of the structure and exterior or other common parts of such a building may be an accountable person notwithstanding that they do not hold a legal estate in any part of the building.[3] Where an RTM company has acquired the right to manage a higher risk building, it is therefore likely that the company will be an accountable person in respect of that building. Where a director of an RTM company has been appointed to support the company in complying with its duties under Pt 4 of the 2022 Act and is entitled to remuneration from the company, that director (but not other directors who are not entitled to remuneration) will be held criminally responsible for any offence under Pt 4 committed with their consent or connivance or attributable to their neglect.[4]

§ 31:58 Landlord contributions to service charges

Where premises which are subject to the right to manage contain one or more flats or other units which are not subject to a lease held by a qualifying tenant, and which therefore excluded from the management of the RTM company, the company is entitled to receive a payment from the "appropriate person" if the service charges payable by qualifying tenants amount to less than the whole of the relevant costs[1] incurred by the company in the provision of services.[2] The appropriate person is the immediate landlord or, if the unit is not subject to a lease, the freeholder.[3] Where there is only one excluded unit the amount of the contribution is the difference between the relevant costs incurred by the RTM company and the aggregate amount payable by the qualifying tenants.[4] Where there is more than one excluded unit the proportionate contribution towards the shortfall

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[Section 31:57]

[1]Section 102 and Sch.7 of the 2002 Act.

[2]Section 65(1), Building Safety Act 2022.

[3]Section 72(1), Building Safety Act 2022; the owner of a legal estate in possession is not an accountable person if all its repairing obligations have become functions of an RTM company: s.72(2)(b), Building Safety Act 2022.

[4]Section 161(1), (4), Building Safety Act 2022; where no director has been appointed, or none is remunerated, all directors (or if there are no directors, all members) of the RTM company will be liable in respect of offences under Pt 4 committed by the company with their consent or connivance or attributable to their neglect.

[Section 31:58]

[1]The expression "relevant costs" bears the same meaning as under s.18 of the Landlord and Tenant Act 1985: s.112(1) of the 2002 Act.

[2]Section 103(1)–(2) of the 2002 Act.

[3]Section 103(5) of the 2002 Act; there may therefore be more than one appropriate person, although never more than one in relation to a single unit.

[4]Section 103(2) of the 2002 Act.

payable by the appropriate person in respect of each such unit is calculated by reference to the floor area of the excluded units.[5]

The contribution which the appropriate person is required to make is not itself a service charge within the meaning of s.18 of the Landlord and Tenant Act 1985, since it is not a payment made by a tenant. There was formely some doubt over the jurisdiction of the First-tier Tribunal to determine the amount of such contribution under s.27A of the 1985 Act, since this is concerned only with service charges. It was thought to be possible in an appropriate case for the tribunal to make a valid determination of the total amount of the relevant costs and the total amount of the service charges payable by qualifying tenants, enabling the shortfall, and thus the appropriate person's contribution, to be ascertained.[6]

The former uncertainty over the jurisdiction of the First-tier Tribunal has been resolved by an amendment to the enforcement provisions of the 2002 Act. Whereas it was previously necessary to apply to the court under s.107, 2002 Act to secure compliance with a requirement imposed by the right to manage provisions of the Act, since 3 March 2025, such an application may now be made to the appropriate tribunal.[7] There is no doubt that the obligation of the appropriate person to make a contribution is covered by s.107.

§ 31:59 Cessation of management

The right to manage will cease to be exercisable by the RTM company which acquired it in any of the following circumstances:

(a) by agreement with each landlord of the whole or any part of the premises;[1]

(b) if a winding-up order or an administration order is made with respect to the company, or it passes a resolution for voluntary winding up; if a receiver or manager if appointed over the company's undertaking or a debenture holder takes possession of any property of the company secure by a floating charge, or a voluntary arrangement is approved; or if the RTM company's name is struck off the register of companies;[2]

(c) if a manager is appointed over the premises under Pt 2 of the Landlord and Tenant Act 1987 and begins to act, or an order is made under Pt 2 of that Act that the right to manage is to cease to be exercisable.[3]

When the right to manage ceases to be exercisable those management functions which had been exercised by the RTM company will presumably revert to the party originally responsible for their performance under the terms of the lease.

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[5]Section 103(3)–(4) of the 2002 Act.

[6]*Gibbs v Clevedon Court (Dulwich) RTM Co Ltd* [2017] UKUT 411 (LC); in a less straightforward case it may be necessary for the contribution to be determined by the county court under s.107(1) of the 2002 Act.

[7]Section 107 of the 2002 Act, as amended by s.51(2), Leasehold and Freehold Reform Act 2024.

[Section 31:59]

[1]Section 105(2) of the 2002 Act.

[2]Section 105(3) of the 2002 Act.

[3]Section 105(4) of the 2002 Act; the appropriate tribunal has power under s.24 of the Landlord and Tenant Act 1987, as modified by Sch 7 para.8(7) of the 2002 Act to order that the right to manage shall cease to be exercisable by an RTM company: *Benthan v Lindsay Court (St Annes) RTM Co Ltd* [2021] UKUT 4 (LC).

§ 31:60 Enforcement of obligations

Any person interested in the enforcement of any obligation imposed by Ch.1 of Pt 2 of the 2002 Act may apply to the appropriate tribunal for an order requiring any person in default of such an obligation to make good their default.[1] This is, in effect, an injunction and extends to an order requiring a landlord to pay accrued uncommitted service charges. Before making such an application a notice requiring that the default be made good must have been served on the person subject to the obligation and more than 14 days must have elapsed without their having done so.[2]

§ 31:61 Exclusive jurisdiction of the appropriate tribunal

Where jurisdiction is conferred on the appropriate tribunal by any of the right to manage provisions of the 2002 Act, a person may not apply to the High Court in respect of that matter.[1]

[Section 31:60]

[1]Section 107(1) of the 2002 Act, as amended with effect from 3 March 2025, by s.51(2), Leasehold and Freehold Reform Act 2024. Formerly such an application had to be made to the county court.

[2]Section 107(2) of the 2002 Act.

[Section 31:61]

[1]Section 52(1), Leasehold and Freehold Reform Act 2024. The only exception is in respect of claims brought (by way of proceedings for judicial review) for the purpose of challenging a decision, declaration or order of the appropriate tribunal: s.52(2), Leasehold and Freehold Reform Act 2024. The county court no longer has jurisdiction over right to manage matters so, subject to the exception just mentioned, the appropriate tribunal has sole jurisdiction in right to manage matters.